

Global Macro Outlook and Strategy

Global Rates, Commodities, Currencies and Emerging Markets

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Overall summary

US Rates

- Another strong month of job growth could lower the bar for markets to price in further tightening, and we see risks markets could price in more tightening over the next year. Intermediate Treasuries have underpriced this risk: 10-year yields are trading 27bp below their model-implied fair value, leaving the risks skewed toward higher yields over the medium term. We remain patient before entering outright duration shorts, as quarter-end rebalancing dynamics leave room for yields to decline near-term given equities' outperformance versus fixed income. Maintain 10s/30s flatteners as a low-beta way to position for higher yields with a relative value overlay. Stay short 10-year Treasuries versus Bunds.

International Rates

- DM yields extended the post US-Iran MoU rally this week as declines in energy prices are easing inflation concerns, although US rates continued to underperform after the recent hawkish Fed shift. We continue to think that European yields are likely to remain range-bound. We expect carry to be a key theme for the coming months amid a backdrop of moderating volatility and usually lighter market activity through the summer.

Currencies

- We transitioned from “Bullish beta, bearish USD” to “Bullish beta, bullish USD” in March; hold this view in H2. EUR/USD downside target revised down to 1.10; USD/JPY 164, USD/CNY 6.70 both unchanged. The baseline view is low-intensity (USD index +3%), but with recognition that the onset of a Fed hiking cycle usually coincides with trend USD strength ~ 5%. Carry is a gift that keeps on giving, remains an “AI proxy” and has been a more consistent generator of returns than the dollar; stay bullish in 2H. Conditions are looking better on margin for the “Bullish beta” leg of the view for now. The “bullish dollar” leg could take a breather following the US employment report, but the data is still firm enough to prevent a substantial weakening.

Commodities

- Our base case remains that Chinese oil demand will ultimately return to the market with a decline by 600 kbd in 2026, before rebounding by 800 kbd in 2027. For the week of June 22, Qatar Energy's operation looks broadly stable with about four LNG cargoes loaded over the week, implying a 20% utilization on a 7-DMA.
- We believe the Fed will end up remaining more patient this year, warding off sustained further significant downside for gold from current levels and allowing for a recovery higher over 2H26. A reduced demand forecasts point towards an overall more range-bound base case gold outlook in the near-term with prices averaging \$4,300/oz in 3Q26 and \$4,500/oz in 4Q26.

Emerging Markets

- Resilient cyclical backdrop, low fundamental vulnerabilities and the proactive stance of several EM central banks to allow for continued carry outperformance even as higher inflation and a likely hawkish shift by the Fed could challenge the asset class.
- We remain OW in EM FX in higher yielders and currencies where central banks are ready to hike and also favor frontier FX. Elsewhere, we note that valuations do not offer a clear risk reward amid elevated risks and we stay MW rates, sovereign and corporate credit.

Agenda

	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
2 International rates: Carry on into the summer	10
3 Currencies: Carry plays even if USD takes a break	16
4 Commodities: Patience is a golden virtue	28
5 Emerging Markets: Stay OW EM FX and MW Rates, EM Sovereigns & Corporate	33
6 Appendix	39

We project a Fed on hold through 2026. We look for 2- and 10-year Treasury yields to reach 4.20% and 4.70% by YE26 and 4.30% and 4.75% by 2Q27

J.P. Morgan US interest rate forecast, %

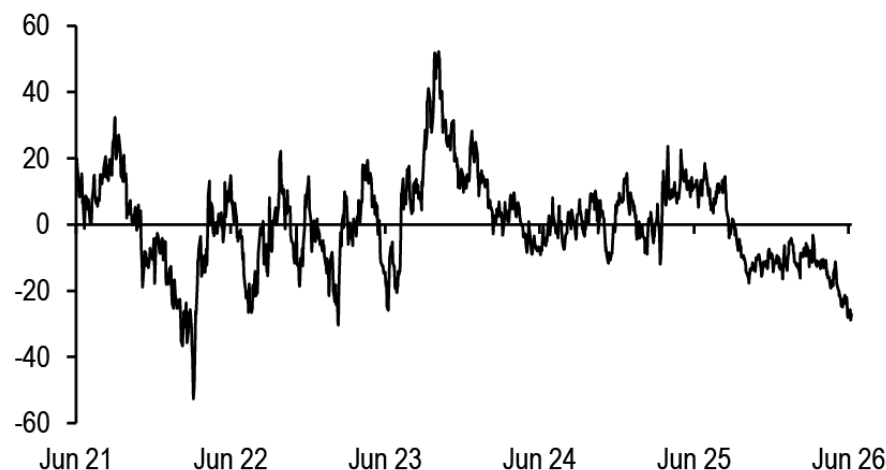
	Actual 26-Jun-26	2Q26 30-Jun-26	3Q26 30-Sep-26	4Q26 31-Dec-26	1Q27 31-Mar-27	2Q27 30-Jun-27
Rates (%)						
Effective funds rate	3.63	3.62	3.62	3.62	3.62	3.62
SOFR	3.64	3.60	3.60	3.60	3.60	3.60
2-yr Treasury	4.09	4.15	4.15	4.20	4.20	4.30
3-yr Treasury	4.09	4.20	4.20	4.25	4.25	4.35
5-yr Treasury	4.13	4.30	4.40	4.45	4.50	4.50
7-yr Treasury	4.24	4.40	4.45	4.55	4.65	4.65
10-yr Treasury	4.37	4.55	4.65	4.70	4.75	4.75
20-yr Treasury	4.87	5.05	5.15	5.20	5.25	5.25
30-yr Treasury	4.86	5.00	5.10	5.15	5.15	5.15
Spreads (bp)						
Fed funds/2yr	46	53	53	58	58	68
2s/10s	28	40	50	50	55	45
2s/5s	4	15	25	25	30	20
5s/10s	24	25	25	25	25	25
5s/30s	74	70	70	70	65	65
10s/30s	49	45	45	45	40	40

Source: J.P. Morgan

- We forecast US GDP will grow 1.9% (q4/q4) in 2026, while core PCE remains firm at 3.4% (q4/q4). The unemployment rate should gradually fall over 2026, reaching 4.1% (%q/q, saar) in 4Q26
- **We expect the Fed to remain on pause for the whole of 2026**, holding the funds rate target range to 3.5-3.75%. We see the Fed as likely to raise policy rates in 3Q27 as labour markets tighten and inflation remains above target
- Against this backdrop, we see **2-year Treasury yields reaching 4.20% by YE26. Meanwhile 10-year yields should rise to 4.70% by YE26**
- We see the intermediate section of the curve underperforming, with 2s/10s modestly steeper over the period

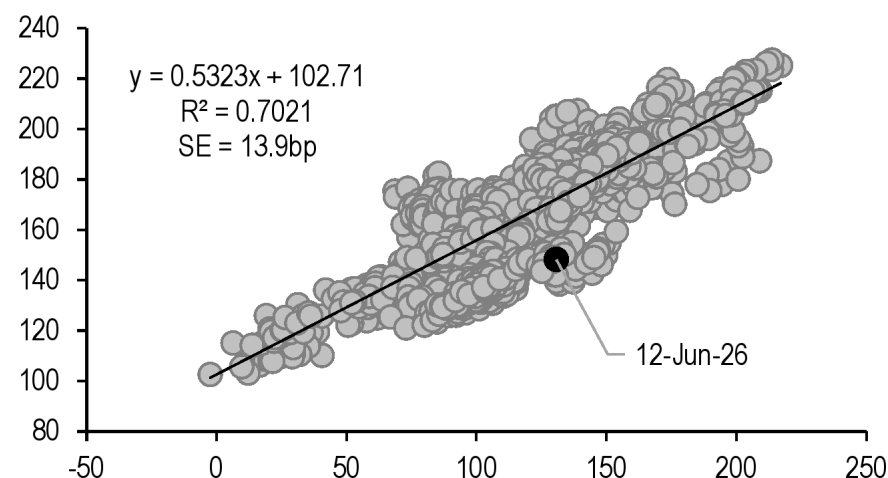
Continued strong job growth could lower the bar for markets to price in further tightening. Intermediates have underpriced this risk. Stay short 10-year Treasuries vs German Bunds

Residual of J.P. Morgan 10-year Treasury fair-value model*; bp



*10-year Treasury yields regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), J.P. Morgan U.S. Forecast Revision Index (%), Fed B/S as share of the US economy (%), and a trade policy uncertainty variable that is 1 between 4/2/25 and 2/26/26. Regression over the last 5 years: R-squared = 97.9%, SE = 14.0bp
Source: J.P. Morgan, Federal Reserve

10-year Treasury/German bund spread regressed on 1y1y USD/EUR OIS spread (bp), regression over the last 5 years; bp

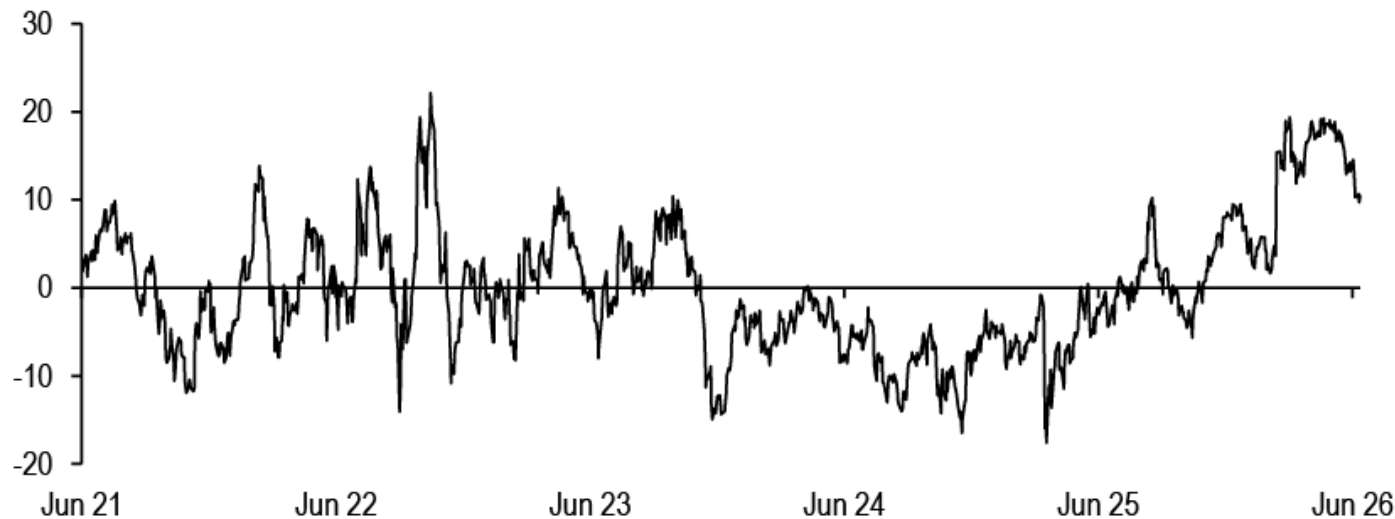


Source: J.P. Morgan

- Another strong month of job growth could lower the bar for markets to price in further tightening, particularly given that front-end yields have declined to their lowest levels in six weeks
- Money markets are pricing in just 35bp of tightening over the next year, both earlier and somewhat more aggressive than our projection for a hike in 3Q27, but we see risk markets potentially pricing in more tightening over the next year, particularly given the parallels we can draw with the experience of the late 1990s
- The intermediate sector has underpriced this risk: 10-year Treasury yields are now trading 27bp below their model-implied fair value, the largest divergence since March 2023, and on margin the risks for yields seem skewed higher over the medium term. For this reason, alongside relatively attractive European valuations, **stay short 10-year Treasuries versus German bunds**

We think flatteners offer better value than outright duration shorts, especially given near-term rebalancing dynamics: maintain 10s/30s flatteners

Residual of J.P. Morgan 10s/30s Treasury curve fair-value model*; bp



*10s/30s Treasury curve regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), Fed B/S as share of the US economy (%), and a dummy variable for trade policy uncertainty that is 1 between 4/2/25 and 2/26/26, and 0 at all other times. Regression over the last 5 years: R-squared = 87.0%, SE = 7.5bp

Source: J.P. Morgan, Federal Reserve

- Even with risks skewed to the upside for yields over the medium term, we prefer to remain patient before entering outright duration shorts, given near-term rebalancing dynamics around quarter end
- In quarters where equities have outperformed Treasuries by more than 5%-pts, 10-year Treasury yields have tended to decline in the week prior to quarter end and then rise in the 5 business days after
- Instead, given the risks to medium-term policy expectations, the sensitivity of the yield curve to these expectations, and steep valuations, we recommend maintaining 10s/30s flatteners as a low-beta way to position for higher yields with a relative value overlay

Incorporating a faster pace of tariff refunds and lower tariff revenue this year, we expect a deficit of \$2.02tn in FY26 and \$1.96tn in FY27

J.P. Morgan projection of net privately-held borrowing, Treasury buybacks, Federal Reserve purchases of Treasuries, and expected change in Treasuries held by private investors; \$bn

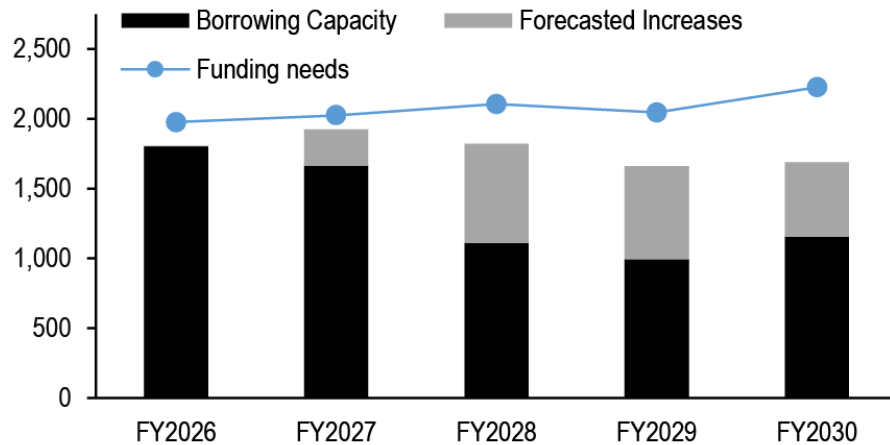
Year	Total net privately-held borrowing	Buybacks	Fed secondary market purchases		Net change in privately-held debt outstanding	
			Bills	Coupons	Bills	Coupons
CY 2020	4301	0	157	2184	2390	-432
CY 2021	1607	0	0	938	-1195	1961
CY 2022	1681	0	0	99	-37	1539
CY 2023	3122	0	0	0	2047	1107
CY 2024	2422	85	0	0	538	1823
CY 2025	2105	195	38	0	322	1719
CY 2026	2108	240	410	0	410	1293
CY 2027	2045	240	300	0	326	1419

Source: U.S. Treasury, J.P. Morgan

- IEEPA tariff refunds have been issued a modestly faster pace than we anticipated, and we now expect \$75bn in refunds in FY26 and an additional \$50bn in FY27. Moreover, we forecast a slower pace of tariff revenue accumulation this year at \$325bn in FY26, before returning to a \$400bn pace in FY27
- **Net of these factors, we now expect a deficit of \$2.020tn in FY26 and \$1.960tn in FY27, versus \$1.955tn and \$2.050tn, respectively, at the start of the year**
- Net of Fed purchases and buybacks, this translates to a \$410bn change in privately-held bills and \$1.293tn in net privately-held coupon issuance

We continue to believe Treasury will change its issuance guidance in August, but see a risk they could leave unchanged, pushing coupon auction increases further into FY27

US Treasury net coupon borrowing capacity under unchanged issuance * and under J.P. Morgan forecast** versus total funding needs; \$bn

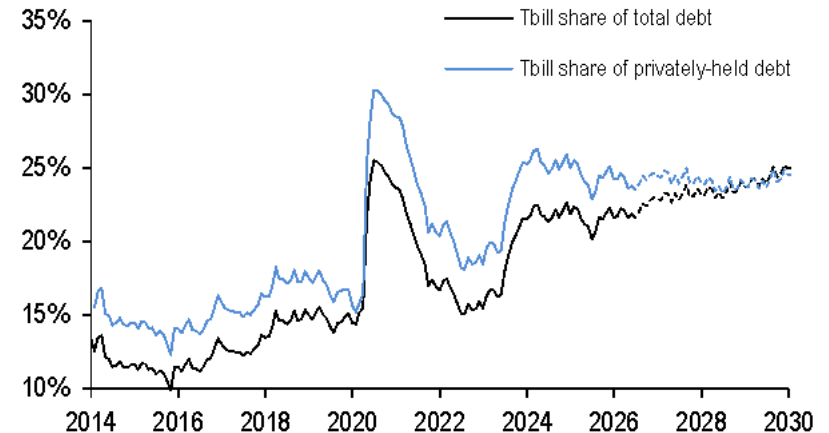


* Incorporates SOMA add-ons from maturities of first-time Fed bill purchases

**Assumes multi-quarter series of increases to 2s through 10s beginning in February 2027

Source: US Treasury, CBO, J.P. Morgan

T-bill share of total debt vs. share of privately-held debt, including J.P. Morgan forecasts*; %



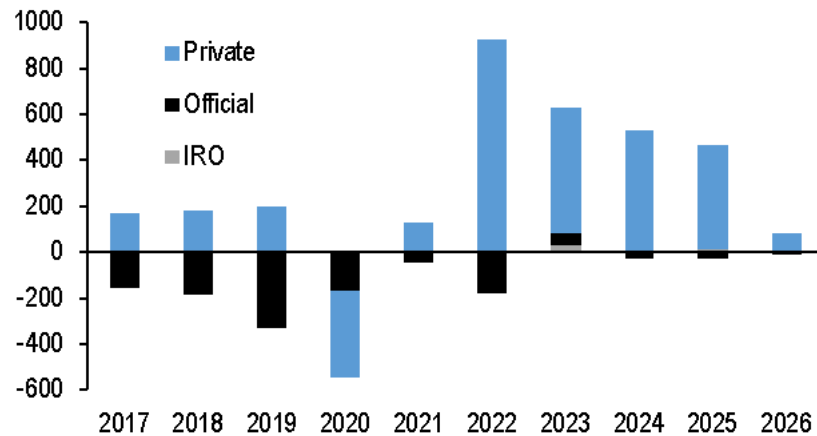
*J.P. Morgan forecasts reflect a multi-quarter series of nominal coupon auction size increases beginning in February 2027 concentrated in 2s through 10s, while 20s and 30s are left unchanged (see US Treasury Market Daily, 1/23/26 for details), and assume RMPs at a pace of \$10bn/mo

Source: J.P. Morgan

- Under their current schedule, Treasury remains well funded in FY26, though large gaps emerge in FY27 and beyond. We expect Treasury to remove the guidance that it anticipates maintaining unchanged coupon auction sizes for “at least” the next several quarters in August ahead of revising coupon auction sizes higher in February 2027...
- ...However, if potential political considerations for leaving guidance unchanged in May grow ahead of midterms, we see increased risk that Treasury will continue to leave guidance unchanged. This would push auction size increases further into FY27 and suggest increased reliance on T-bills over the interim. Given Fed RMPs and the ongoing reinvestment of MBS paydowns into T-bills, we see the privately-held bill share as staying relatively stable over the medium term

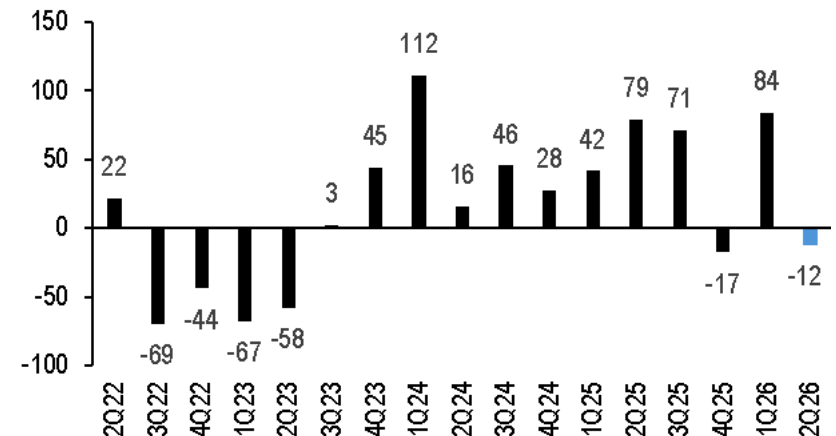
Foreign demand is running at its slowest pace since 2021 and commercial bank demand has waned, while we have seen robust bond fund inflows...

Annual net foreign purchases of long-term Treasuries by type*; \$bn



*Through March 2026
Source: Treasury International Capital System

Quarterly change in commercial bank holdings of non-MBS Treasury and agency securities*; \$bn



*2Q26 through 5/27/26
Source: Federal Reserve

- Foreign demand is running at its slowest pace since 2021, and demand continues to shorten along the curve. A resilient US economy, a Fed shifting hawkishly, and attractive valuations in home jurisdiction government bonds suggest foreign demand should remain weak
- Commercial bank demand has waned alongside firmer loan growth and unattractive valuations. We lower our demand forecast
- The AUM of the top core bond funds continue to increase at a robust clip, and we would expect yields near their cycle highs will keep inflows strong
- We continue to project reduced LDI demand. With DB pension plans heavily invested in fixed income securities, funding ratios above 100%, and the volatility in funding ratios having declined considerably, duration demand is likely to remain muted

...We revise lower our demand forecasts, and the shift towards price-sensitive investors will help keep long-term yields anchored at higher levels

Annual net issuance of Treasuries versus purchases by investor types; \$bn

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
UST net issuance; \$bn	557	1134	1068	4301	1607	1353	2434	1974	2425	2428
Investor										
Foreign Investors	308	120	298	67	606	393	594	609	509	450
Commercial banks	-43	87	126	328	449	9	-83	194	179	150
Pension/Insurance**	151	57	6	13	179	-8	143	226	183	150
Broker dealers	17	132	-47	-9	-104	85	121	130	71	100
Mutual funds/ETFs	186	121	187	24	410	127	101	211	259	225
Money market funds	-95	189	178	1343	-651	-751	1236	725	250	400
Fed	-9	-214	60	2388	963	-594	-720	-475	-100	410
Demand gap***	41	640	262	146	-244	2091	1042	354	1075	543

* J.P. Morgan estimates

** Includes private and state pension funds, life and property/casualty insurance companies

*** Positive number means supply exceeds estimated demand

Source: J.P. Morgan, Federal Reserve

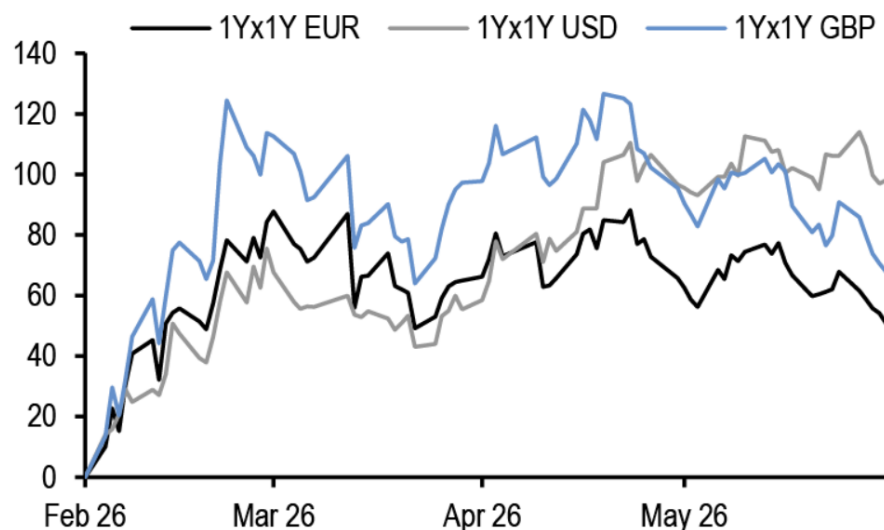
- If our projections become reality, other investors will need to absorb \$543bn in additional Treasury supply. This supports our thesis that with Treasury market ownership continuing to shift toward more price-sensitive investors, alongside a Fed on hold, this should help keep intermediate and long-end yields anchored at somewhat higher levels through the remainder of this year

Agenda

	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
2 International rates: Carry on into the summer	10
3 Currencies: Carry plays even if USD takes a break	16
4 Commodities: Patience is a golden virtue	28
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6 Appendix	39

DM Rates: Carry works (but with caveats)

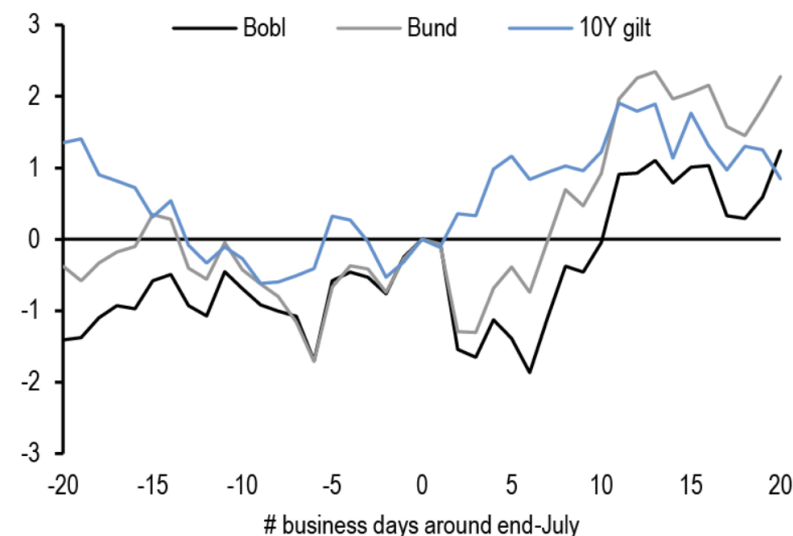
Cumulative change in 1Yx1Y OIS curves in EUR, USD and GBP;
Since 1 Jan, bp



Source: J.P. Morgan.

Evolution of Bobl, Bund and 10Y gilt swap spread around the
last business day of July

Average over 2023-2025; end-July = 0



Source: J.P. Morgan.

- We find evidence that summer carry works as a theme in Euro rates, but caveats apply. Intra-EMU/€-SSA spreads do not historically exhibit a clear tightening pattern in summer; given the ongoing risks from the Middle East conflict, we don't think intra-EMU/€-SSA spread carry can provide sufficient cushion against potential risk-off widening. Instead, we find evidence of seasonal widening into the summer period, especially in German swap spreads. In the current environment, **we see value in carry trades across money markets, swap spreads and volatility.**
- In terms of our trading portfolio, we hold **carry trades** in EUR and GBP: 1) We keep paid the belly of 1Y/1Yx1Y/2Yx1Y (50:50) fly in both ESTR and SONIA, 2) Bund/buxl swap curve steepener 3) short 3Mx3Yx1Y unhedged straddles in Euro. Instead, in intra-EMU/€-SSA space, we don't think spread carry can provide sufficient cushion against a potential risk-off widening. In the US, we **hold shorts in 10Y UST vs. Bunds and 10s/30s UST flatteners as a bearish proxy.** In Australia, we restructured Nov26/May27 RBA OIS flattener into Nov26/Aug27 flattener as an expression for eventual RBA cuts and entered 3s/10s ACGB futures curve steepeners.

Euro area: Stay short 10Y UST vs. Bund; in intra-EMU, short 10Y Italy vs. France and hold carry trades

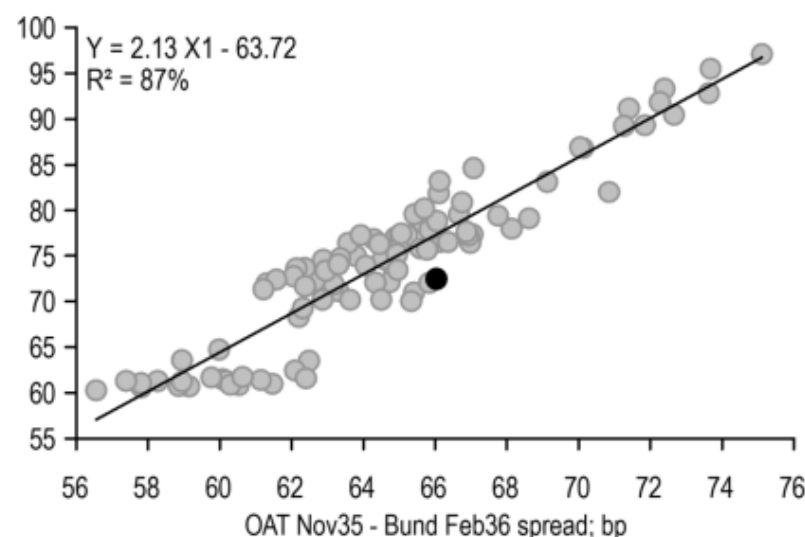
Residual from regressing 10Y US-Germany yield spread against 1Yx1Y USD-EUR OIS rate and US-Euro Forecast revision index (FRI)*;

Past 12M; bp



Note: * 10Y US-Germany = $0.71 \times 1Y \times 1Y \text{ USD-EUR OIS} - 8.4 \times \text{US-Euro FRI} + 216.4$; R-squared: 83% Source: J.P. Morgan.

10Y Italy-Germany spread regressed against 10Y France-Germany spread; BTP Feb36-Bund Feb36 vs. OAT Nov35 vs. Bund Feb36; since Feb26 (post 2026 French budget approval); Bp



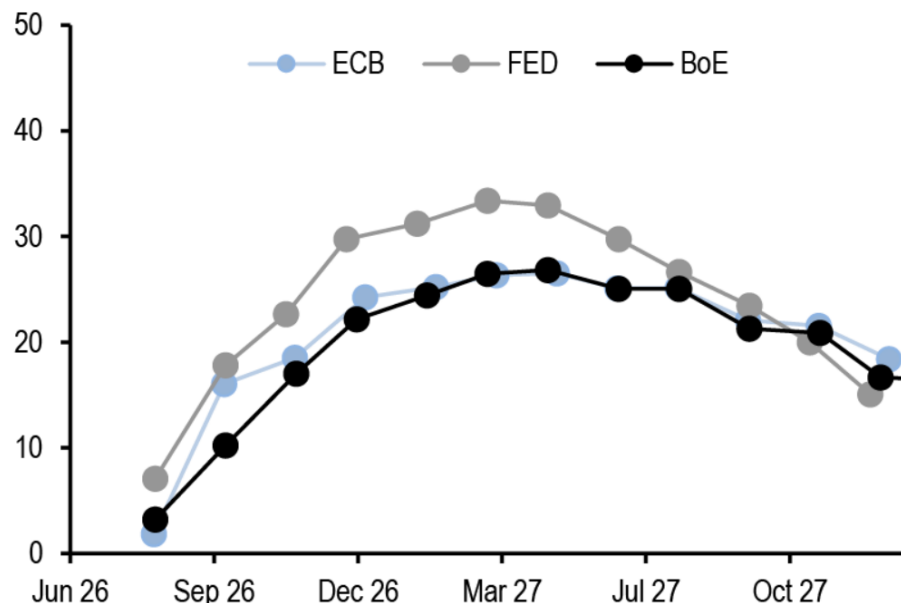
Source: J.P. Morgan.

- **Duration:** Expect German duration to trade in a range (2.85-3.15%); we have a bias to trade German duration tactically from the long side (add OW 10Y Germany at ~3.10%). Cross-market, we stay short 10Y UST vs. Bund
- **Intra-EMU strategy:** Remain cautious stance on intra-EMU/€-SSA carry exposures as at current valuations the spread carry is not providing sufficient cushion against potential risk-off widening risks, especially given already OW positioning. We stay short 10Y Italy vs. France as a risk-off carry efficient proxy and tactical way to position for potential Italian budget noise. Hold long 30Y EU vs. swap to express our strategic OW EU theme. Keep UW 10Y Belgium vs. France/Germany in 50:50 flies as an attractive convex hedge against tail risk of further escalation in the Middle East conflict.
- **Derivatives:** An environment of range-bound yields against a backdrop of moderating volatility is supportive of carry trading. Enter 1) pay the belly of 1Y/1Yx1Y/2Yx1Y (50:50) fly as a short duration proxy and having 8bp in 3M carry, 2) Bund/Buxl swap spread steepener, 3) short 3Mx(3Yx1Y) unhedged straddles. The strong negative directionality of the curve versus front-end yields is weakening, especially in a sell-off. We recommend **2s/10s conditional bear-steepener via 6M OTM payers**

UK: remain tactically bearish at the front-end; 10Y gilt yields to range trade around 4.80%

Cumulative rate hikes priced for ECB, BoE and Fed

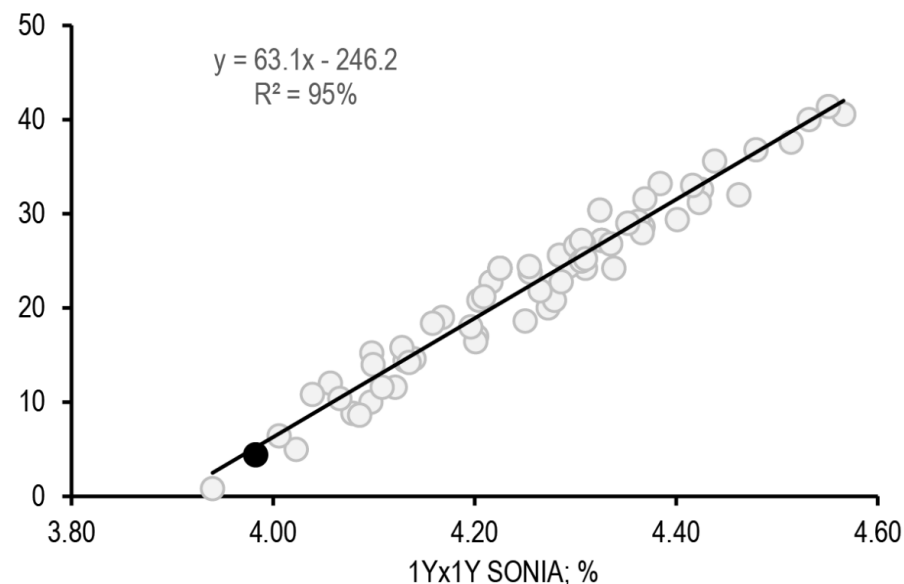
Bp



Source: J.P. Morgan.

1Y/1Yx1Y/2Yx1Y SONIA fly (100%/200%/100%) regressed against 1Yx1Y SONIA

Past 3M, bp



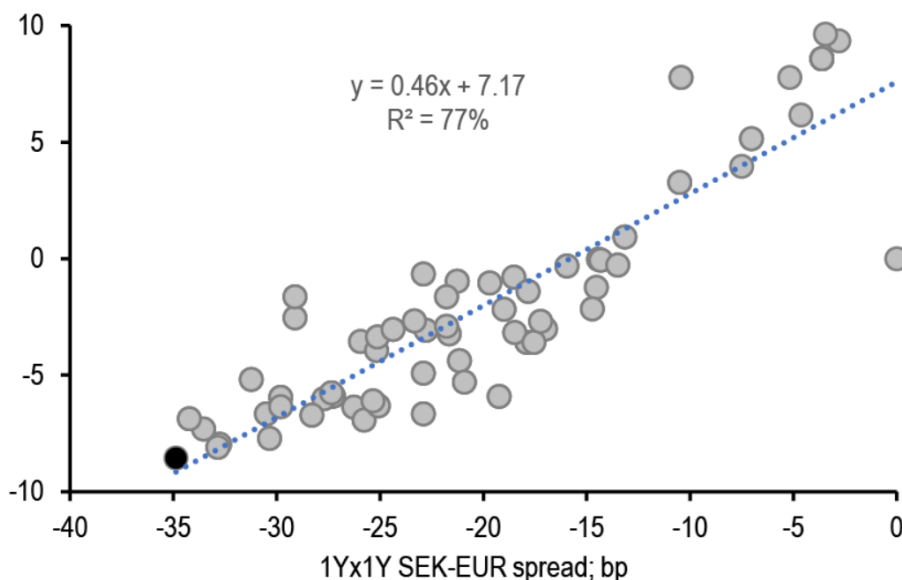
Source: J.P. Morgan.

- Our conviction on the timing of a BoE hike has fallen given the decline in energy prices further reduces any urgency and allows the BoE more time to evaluate the indirect effects. We keep a **bearish view at the front end of the curve** and hold: 1) tactically paid Sep26 MPC OIS, 2) short Jun27 3M SONIA futures vs. Jun27 Euribor. We continue to pay the belly of the 1Y/1Yx1Y/2Yx1Y SONIA fly (3Mx1Y/15Mx1Y/27Mx1Y) as a **carry trade** and as a modest bearish proxy as we think 1Yx1Y SONIA is unlikely to rally significantly.
- We expect 10Y gilts to trade in a relatively narrow range around the 4.75-4.80% level. For now, we see limited potential for the 2s/10s gilt curve to price any increase in **fiscal/political risk premia**. We have a flattening bias on 10s/30s gilt curve.

Scandinavia: neutral on Sweden front-end and hold 5Yx5Y Stibor-Euribor wideners; in Norway, hold Dec26/Dec27 NOK 3M FRA and enter reds/greens Nibor flattener

5Yx5Y Stibor-Euribor regressed vs 1Yx1Y Stibor-Euribor

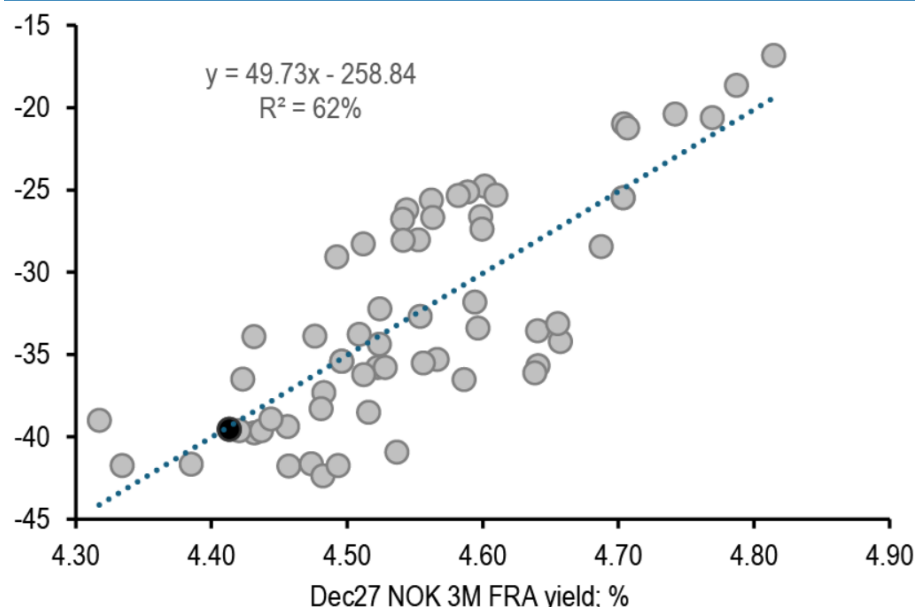
Past 3M; bp



Source: J.P. Morgan.

Dec26/Dec27 3M FRA curve regressed against Dec27 3M FRA yield

Past 3M, bp



Source: J.P. Morgan.

- **Sweden:** Our baseline expectation remains for one more hike by the end of 2026. We are neutral on front-end duration and also cross-market as we see limited scope and catalysts for a significant under or outperformance of Stibor vs Euribor. We **hold 5Yx5Y Stibor-Euribor wideners** given our view of increased term premia in intermediate Swedish yields around the upcoming 13 September elections
- **Norway:** Our baseline expectation is for one more 25bp hike from the Norges Bank in September, but we do not rule out the risk of an earlier August delivery. After the next hike, risks are skewed towards a longer pause than market pricing and we **hold Dec26/Dec27 NOK 3M FRA curve steepeners**. We see limited scope for further near-term Euribor outperformance in a rally, or Nibor underperformance in a sell-off and take profit on Dec26 (NOK-EUR) 3M FRA spread widener. **Enter Reds/Greens Nibor swap curve flattener** as low-beta bearish proxy and attractive carry

International Rates trade recommendations

Euro area

- **Euro duration:** We maintain biased to trade German duration tactically from long side of the range (2.85-3.15%) and look to add OW 10Y Germany on any sell-off around ~3.10%. Keep short 10Y UST vs. Bund.
- **Intra-EMU:** We stick with our cautious intra-EMU/€-SSA stance. Hold long 30Y EU vs. swap. Keep short 10Y Italy vs. France as carry-efficient broad risk-off proxy and UW 10Y Belgium vs. France/Germany in 50:50 flies as a Middle-East re-escalation tail-risk hedge.
- **Derivatives:** Tactically buy Sep26 Euribor 1x2Y put spread (97.4375/97.5). Expect 1Yx1Y €STR to trade in a (2.40%-2.60%) range. We find payer spreads (1x2 and ladders) attractive on 3Mx(1Yx1Y) which benefits from positive carry and rich payer skew. Hold carry trades via paying the body of 1Y/1Yx1Y/2Yx1Y €STR fly. Close Dec26/Dec28 and fronts/greens conditional bear flattener. Enter 2s/10s conditional bear steepener via OTM 6M payers but exit 2s/10s conditional bull steepener. Keep 10s/30s steepening bias. Stay neutral Schatz spread and hold Bund/Buxl swap spread curve steepener. Stay short volatility. Sell 3Mx5Y gamma and hold shorts in 3Mx(3Yx1Y) unhedged straddles. Take profit in 2s/10s vol curve steepener across tails.

UK

- **UK:** Keep 1) paid Sep26 MPC OIS, 2) short Jun27 3M SONIA futures vs. Jun27 Euribor, 3) paid belly of 1Y/1Yx1Y/2Yx1Y SONIA fly as a carry trade which also trades proxy short 1Yx1Y yields. Stay neutral duration, expect 10Y gilt yield to range trade. Keep tactical flattening bias on 10s/30s gilt curve. Close fronts/greens conditional bear flattener and 1Yx5Y/1Yx10Y vol curve steepeners.

Scandinavia

- **Sweden:** We hold 5Yx5Y (Stibor – Euribor) spread wideners.
- **Norway:** hold our Dec26/Dec27 NOK 3M FRA curve steepeners and take profit in Dec26 (NOK - EUR) 3M FRA spread widener. We enter reds/greens Nibor swap curve flattener, which offers attractive carry and is largely neutral to yields on a short-term regression.

Japan

- **Japan:** Keep 5s/20s JGB curve steepeners and 5s10s30s JGB body short.

Antipodean

- **Australia & New Zealand:** Close Nov-26/May-27 RBA OIS flattener and restructure to Nov-26/Aug-27. Close paid position in AUD 10Y EFP. Open an ACGB 3s/10s (YMU6/XMU6) futures curve steepener.

Agenda

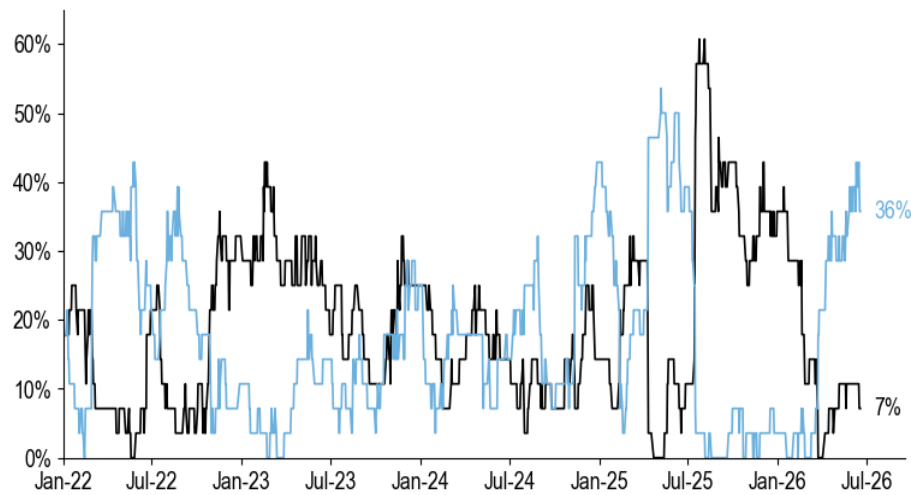
	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
2 International rates: Carry on into the summer	10
3 Currencies: Carry plays even if USD takes a break	16
4 Commodities: Patience is a golden virtue	28
5 Emerging Markets: Stay OW EM FX and MW Rates, EM Sovereigns & Corporate	33
6 Appendix	39

The macro landscape in 2H26: inflation stays sticky, global growth recovers but US exceptionalism lingers

There was a stagflationary tilt to growth and inflation forecasts in 1H; while growth is set to improve...

Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM growth FRI exceeds +/- 1-sigma

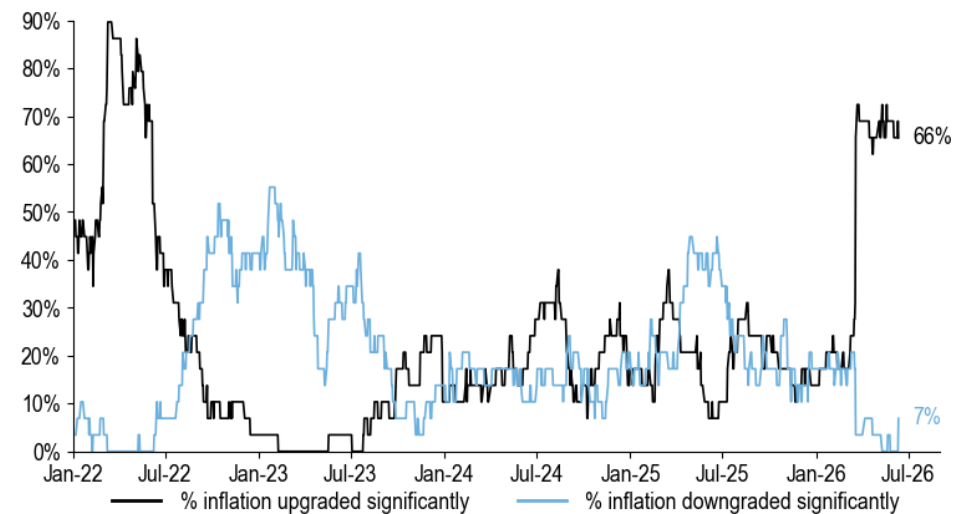
Growth FRI: % of Currencies Upgraded/Downgraded Significantly



...risks are that inflation will stay sticky

Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM inflation FRI exceeds +/- 1-sigma

Inflation FRI: % of currencies upgraded/downgraded significantly



Source: J.P. Morgan

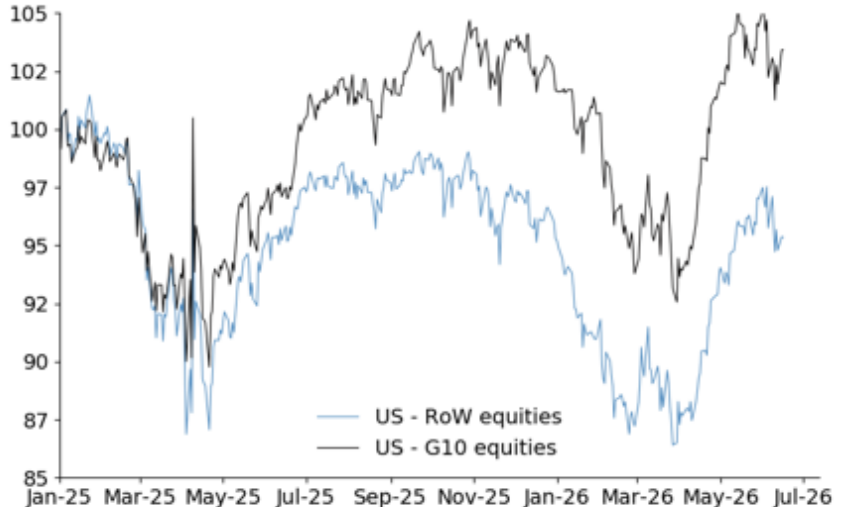
Bullish USD in H2 on US exceptionalism

The many shades of US exceptionalism: global yield dominance, equity returns and growth

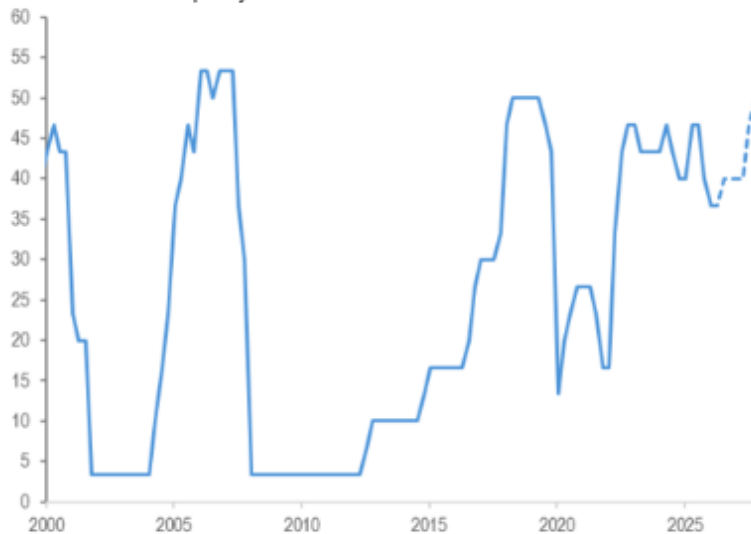
US – RoW median policy rate (%) vs USD TWI



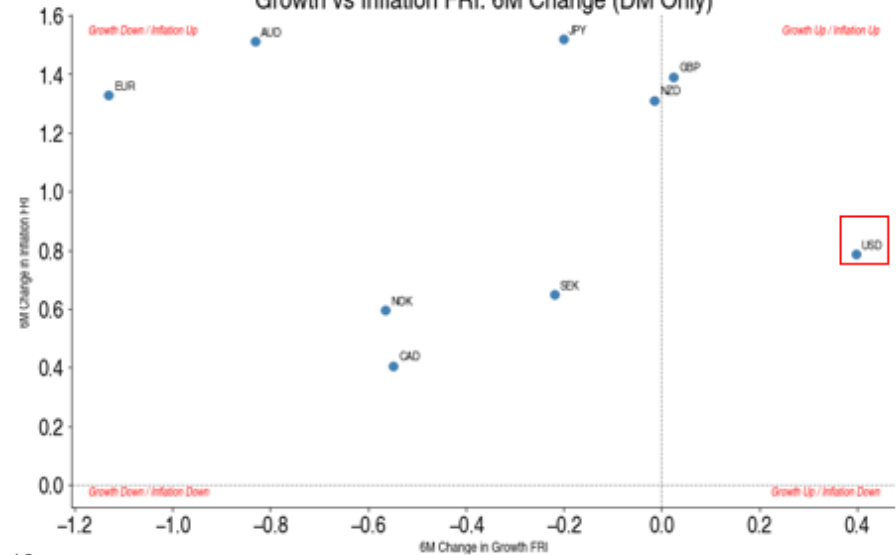
US vs G10 and RoW equity performance (cumulative since Jan 2025)



% of countries with policy rate less than US. Dotted line uses JPM Economists forecasts



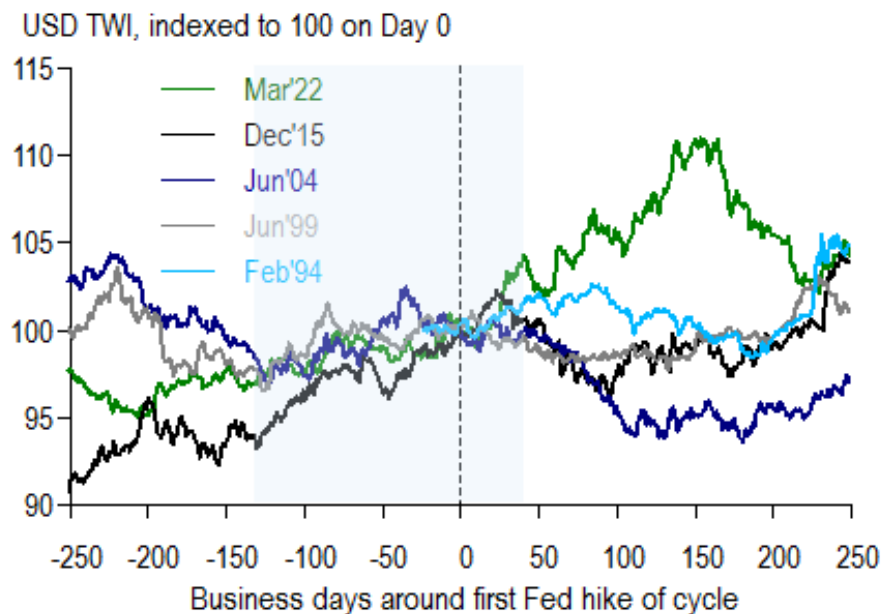
Growth vs Inflation FRI: 6M Change (DM Only)



We look for ~3% of broad USD upside, consistent with previous Fed hiking episodes

The broad dollar tends to reliably appreciate ~5% in the period between ~6-months leading up to the first Fed hike to ~1 month after

Blue shaded area highlights the phase of reliable USD TWI appreciation in the lead-up to the first Fed hike across cycles



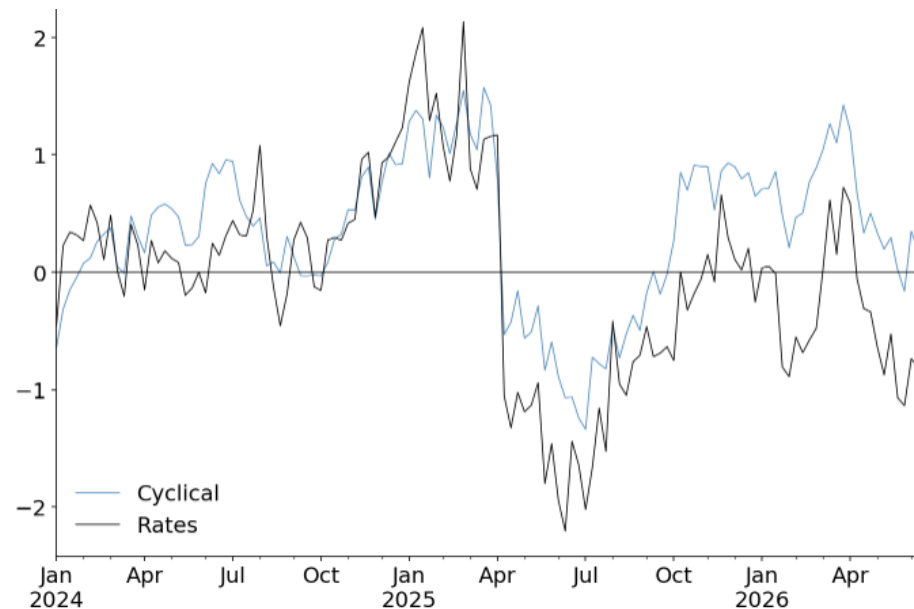
Source: J.P. Morgan

USD screens cheap vs rates, but less so vs cyclical models

Avg mispricing (z-score) across rates and cyclical USD TWI fair value models

Cyclical Models: two-factor equity model, three-factor credit spd model, relative FRI model

Rates Models: 5Y real rate spds, 2Y wtdt nominal swap spds, avg bilateral G10 cross models

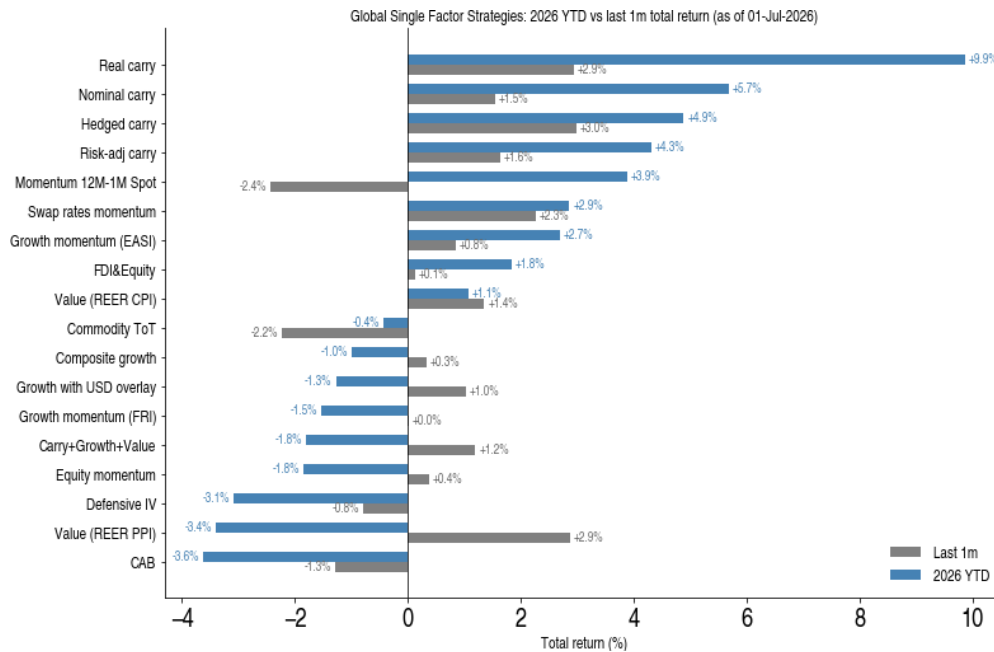


Source: J.P. Morgan, Bloomberg Finance L.P.

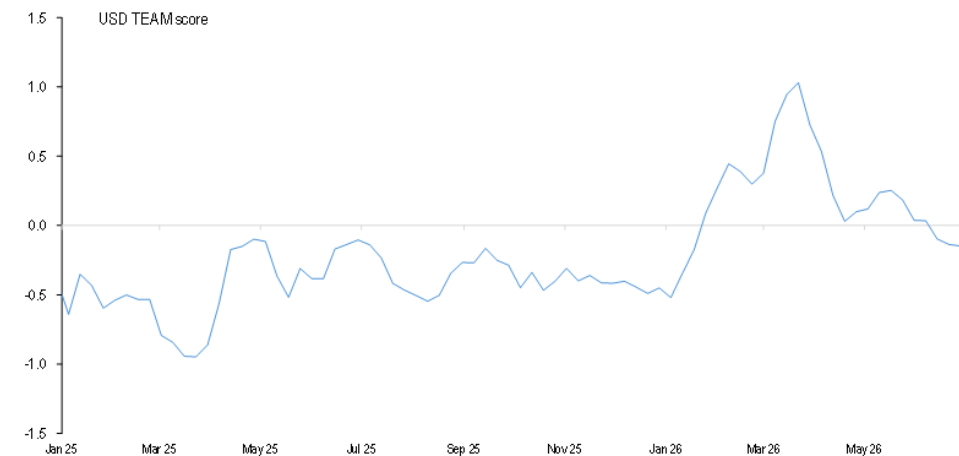
Conditions are looking better on margin for the “Bullish beta” leg of the view for now. The “bullish dollar” leg could take a breather following the US employment report, but the data is still firm enough to prevent a substantial weakening.

Carry: Still the gift that keeps giving with returns approaching 10% YTD on real yield signals

Our systematic models score for emphasising non-USD RV, with TEAM score on USD dipping to its lowest since late-Jan; the models have turned neutral USD for the first time since the conflict started



Source: J.P. Morgan



Source: J.P. Morgan, Bloomberg Finance L.P.

Key political risks; US midterms remains the focal point

Fiscal, trade, foreign policy, and FX policy remain the key policy channels for FX

Policy Channel	Key Levers	USD Risk bias	FX Adjustment Mechanisms	Authority	Midterm-Sensitive?
Fiscal	Reconciliation 2.0, defense spending	↓	Term premium, inflation risk premium, Fed responsiveness	Congress	High
Trade / Tariffs	Tariff Sections 122/232/301, Tariff Revenue, USMCA	↔	Growth (US & RoW), inflation risk, term premium linked to tariff revenues	Executive (but constrained by courts)	Low-Medium
Foreign Policy	Iran / China escalation, NATO cohesion	↑	ToT/energy supply, risk sentiment, global trade, de-dollarization	Executive	Low
FX Policy	Rate checks, manipulator reports, FX accords	↓	Rhetoric (jawboning, currency manipulator report), rate checks, USD swaps, trade deals	Executive (Treasury)	Low

Midterms are the US political focal point in 2H, but there are other trade / geopolitical developments as well

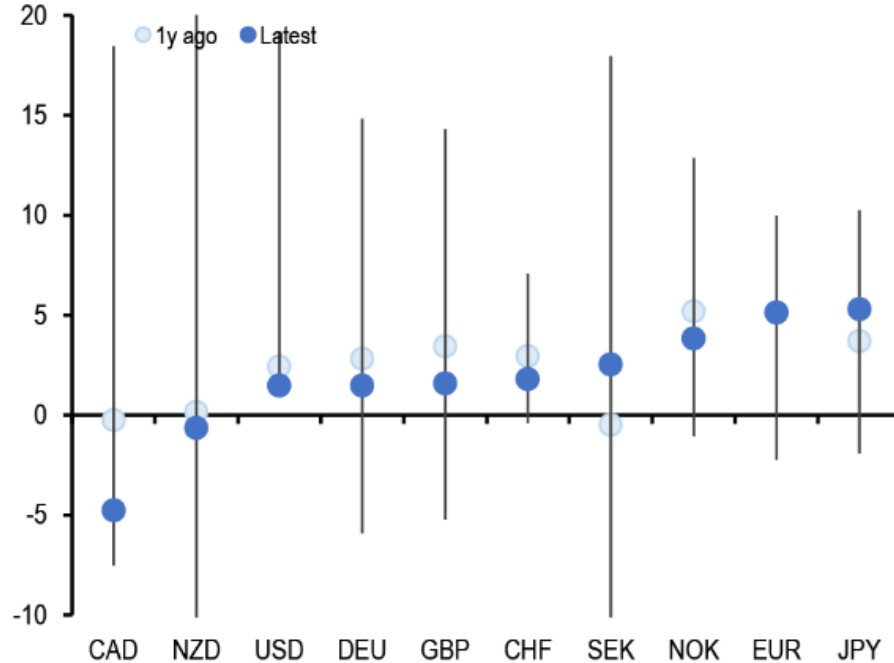
Date	US Event
7/1/2026	USMCA joint review begins
7/20/2026	3rd Round - US/MX USMCA negotiations
7/24/2026	Section 122 Tariffs expire
Mid-Aug	Deadline for final US-Iran deal
9/4/2026	Potential Trump-Xi Summit
9/30/2026	FY'27 government funding deadline
11/3/2026	US midterm elections

- Midterms dominate the US political risk calendar; USD is most sensitive to fiscal, though a hawkish Fed provides some insulation.
- USMCA delays could prove a slow burn negative for CAD (stay short CAD/MXN).
- A Trump-Xi summit should anchor a well-behaved CNY.
- A US-Iran deal breakdown is the geopolitical wildcard with USD upside tail.

DM: bad hikes/good hikes will matter as will where oil lands

Bad hikes; bearish CAD, EUR, JPY, SEK; more pronounced dynamic in CA as rate-sensitive sectors are already soft

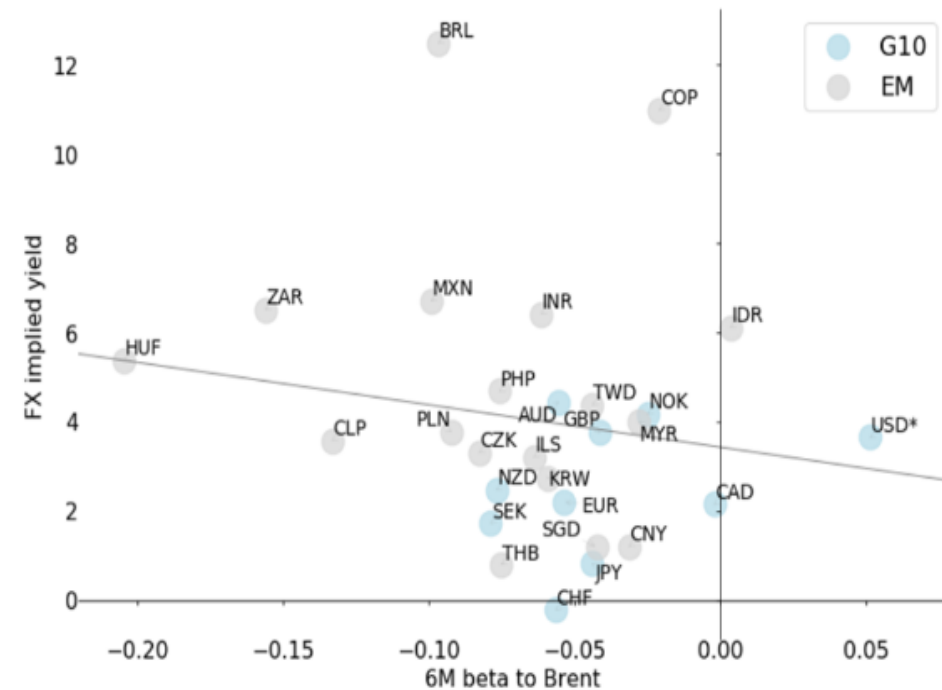
%oya house price change; high-low chart with 5y lookback (vertical lines are range from peak %oya increase to trough).



CHF (1Q), EUR (1Q), JPY (4Q) data is quarterly; rest monthly to Apr (CAD, NZD, USD)/May
Source: J.P. Morgan, Bloomberg L.P., Haver, SBAB

Post Iran trades: AUD, EM high yielders to benefit if oil prices decline; NZD, EUR and SEK are carry-efficient higher oil hedges

FX implied yields vs. 6m beta to Brent (weekly sampled)



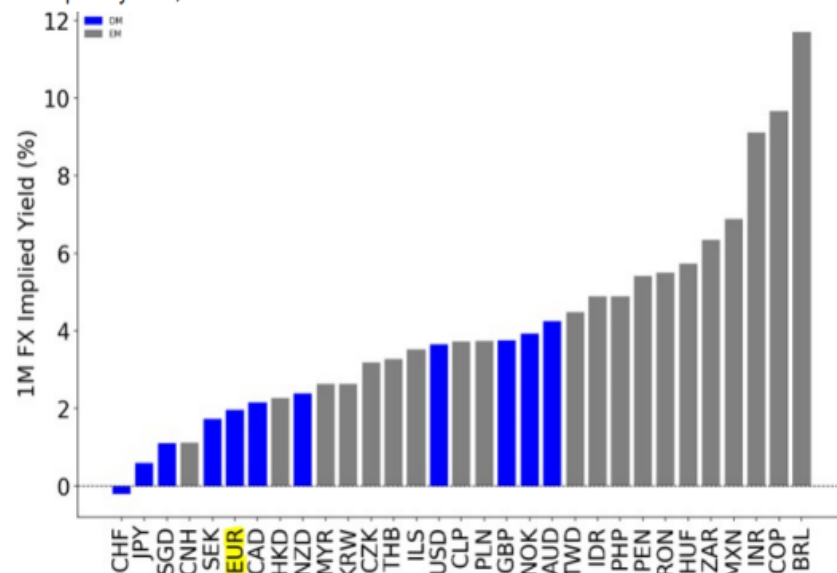
Source: J.P. Morgan

EUR: keep using as a funder on softer data and lack of carry...Fed hikes have coincided with EUR/USD weakening by 15%...

The euro is still a relative low-yielder in the global context, which combined with energy dependence makes it an unattractive recovery candidate

Since the Fed usually delivers more hikes, rate differentials compress against EUR/USD as the Fed starts hiking and EUR/USD has weakened by an average of 27% around three of the last four hiking cycles. The exception was 2004

FX implied yields; %



Source: J.P. Morgan



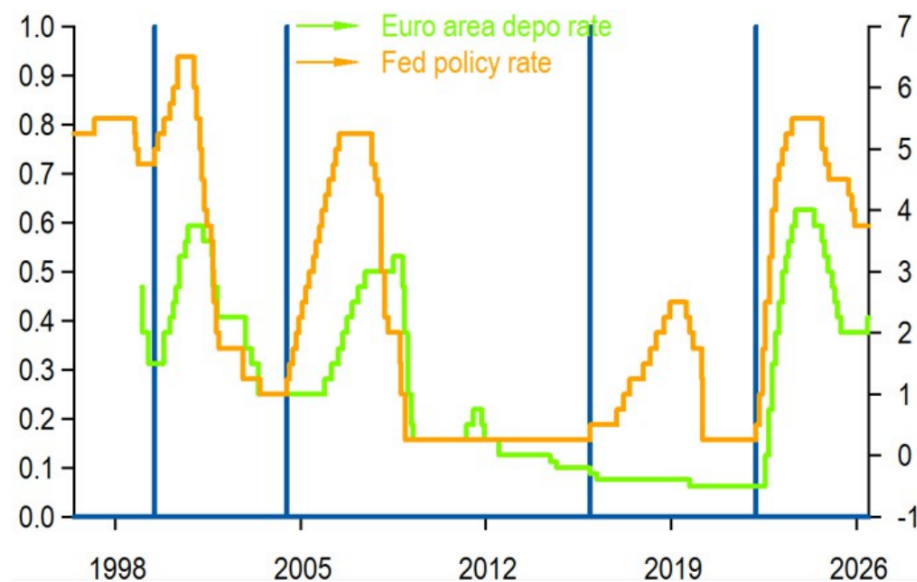
Fed hikes	EUR/USD move	# months pre hike EUR/USD peaked	Cumulative chg in EU-US policy rate (bp)	EUR/USD move/ 10bp
1999	-33%	7		
2004	26%	na	-360	0.7%
2015	-25%	18	-240	-1.0%
2022	-22%	9	-220	-1.0%

- We were already bearish EUR/USD in our recommendations and forecasts, and now lower our baseline target over the extended forecast horizon further to 1.10 (prior low 1.13) and 2H range of 1.13-1.15. 4Q'26 1.13, 2Q'27 1.10

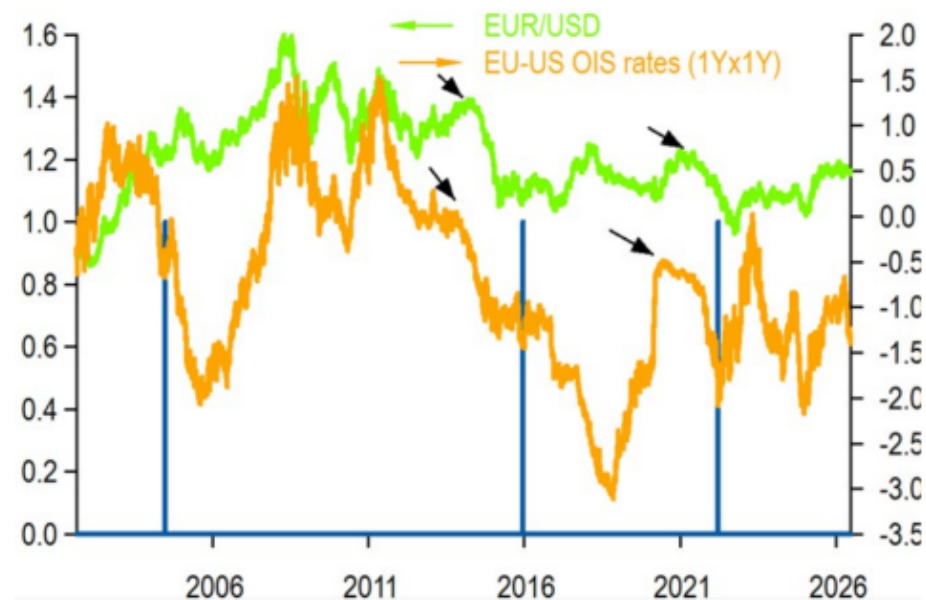
ECB hiking pre-Fed provides some but not complete insulation... rate spreads usually peak pre-FX in hiking cycles

In the prior four hiking cycles, the Fed has hiked prior to the ECB; This is the first time ECB has hiked pre-Fed, which likely to provide some insulation relative to previous cycles

Rate differentials have peaked ~6 months before EUR/USD in the last two hiking episodes, with EUR/USD eventually converging down



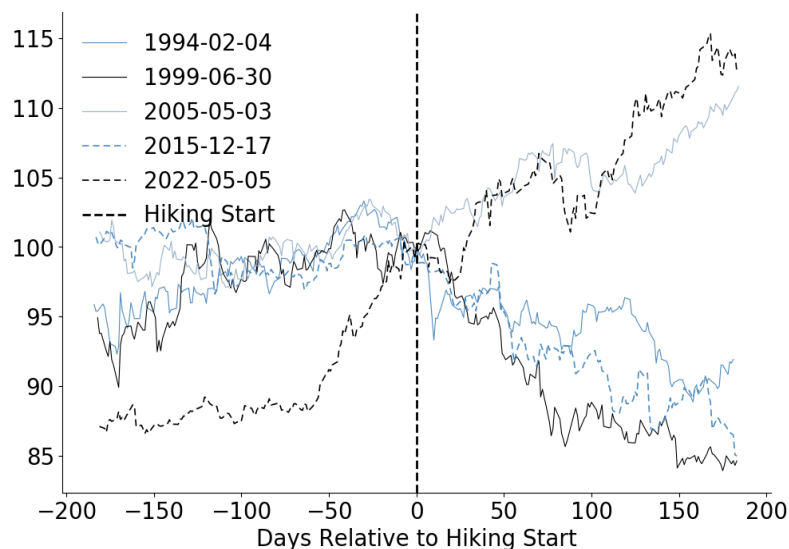
Blue vertical lines signal first rate hikes.
Source: J.P. Morgan



Source: J.P. Morgan

JPY: Stay bearish for domestic and global factors; USD/JPY 4Q 164

Average percent change in USDJPY from -6 months to Fed hiking start: 4.54%



Source: J.P. Morgan, Bloomberg Finance L.P.

Japan's event risks: the coming weeks will be busy with fiscal policy-related events

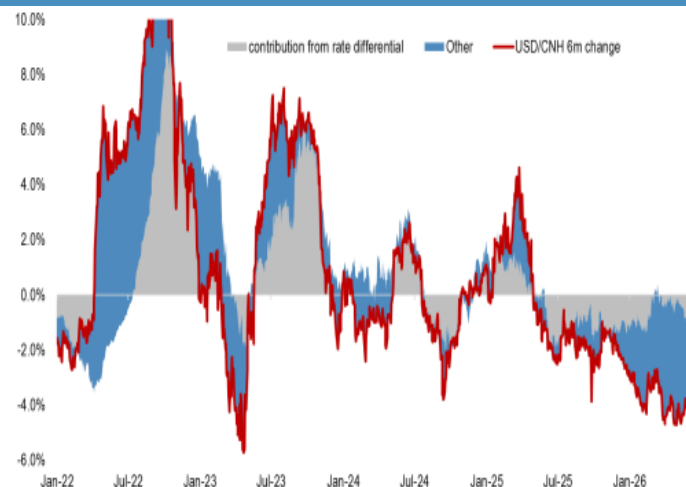
date	category	event	focus, key metrics	risk bias to JPY
By end-June	fiscal policy	A decision on a consumption tax cut on food and on a refundable tax credit.	funding source, risk of becoming permanent	negative
July?		Release of "Basic Policy on Economic and Fiscal Management and Reform," which sets out the guiding principles for fiscal policy going forward. This document is expected to outline the government's growth strategy.	Suggestions for (additional) FY26 supplementary budget and FY27 general budget, funding source, assumption for government debt to GDP ratio	negative
Jul31, Sep18, Oct30 and Dec 18	monetary policy	BoJ monetary policy meeting	We expect an Oct hike.	neutral
N/A	FX policy	MoF intervention	We expect the size to be capped at around JPY12 trn (comparable with that for Apr/May intervention).	positive in short-term, neutral in mid-term
July 3?	others	Release of GPIF Annual report	Share of domestic bonds/foreign bonds as of end-March 2026. Suggestions for possible changes in investment strategy	potentially positive for JPY and JGBs

Source: J.P. Morgan, Bloomberg Finance L.P.

- Staying bearish. Given that we expect the global monetary policy cycle, Japan's domestic policy mix, and an improvement in risk sentiment alongside a pickup in carry trades following a calming of Middle East tensions to all weigh negatively on the JPY. We forecast USD/JPY to rise above the cycle high of 162 in 2H26 (4Q 164), referencing average percent change in USDJPY from -6 months to Fed hiking start is 4.54%.
- If the uptrend accelerates, the MoF will likely conduct another round of intervention, but with the size capped near the late-April/May total (about JPY 12trn), limiting the overall impact. Despite the spike in JGB yields in 1H26, domestic investors have not shifted meaningfully into JGBs from foreign bonds.
- The coming weeks will be important for Japan's fiscal policy, with the government set to outline its growth strategy and decisions on the consumption tax cut and refundable tax credit. Any suggestions of a larger FY26 package or an expanded FY27 budget could heighten fiscal concerns again and trigger a renewed bout of JGB selling and JPY weakness.

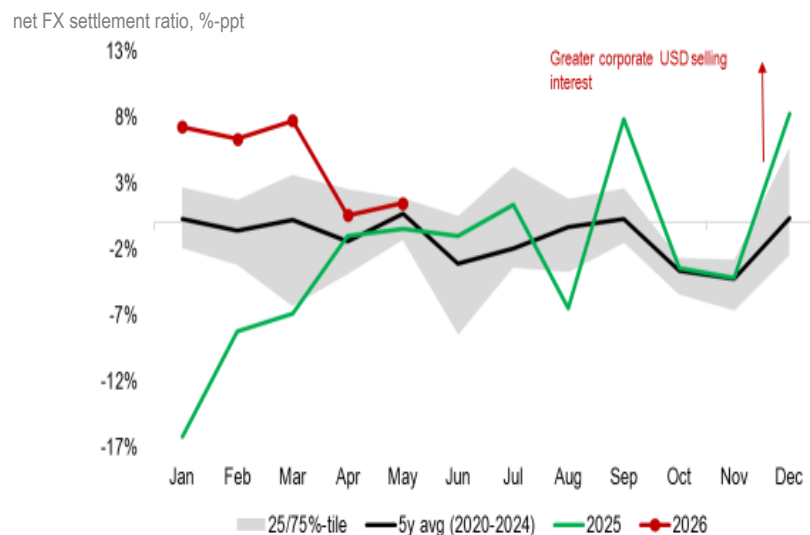
CNY (4Q26: 6.70; 2Q27: 6.80): A growing disconnect from rate fundamentals, but export resilience, corporate dollar selling and portfolio inflows provide bullish support

Unlike in 2H25, US–China yield differentials have not been a key driver of CNY strength in 1H26, ...

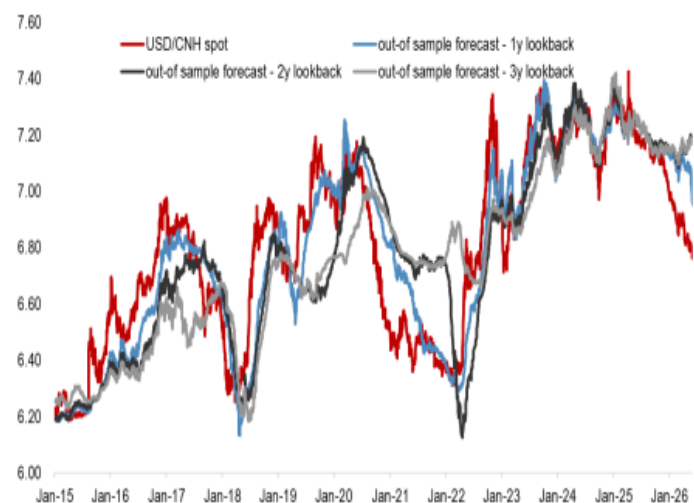


Source for both: Bloomberg Finance L.P., J.P. Morgan

Chinese corporates have continued to sell USD, though the pace has moderated in recent months

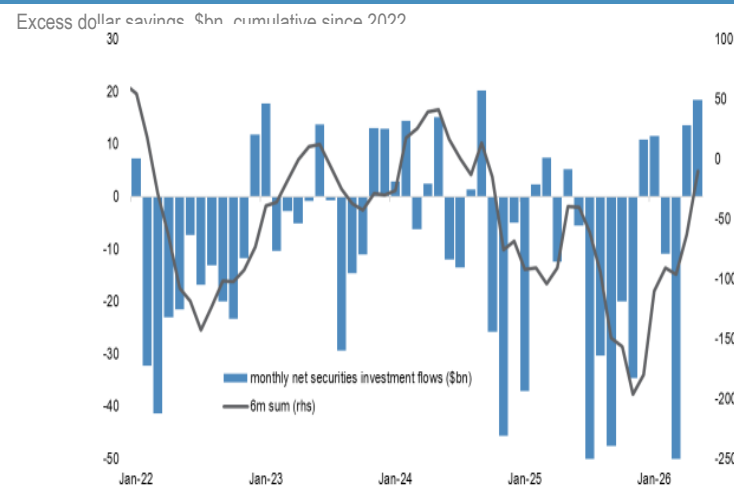


, ... as USD/CNH has become increasingly disconnected from rate fundamentals



Source for both: Bloomberg Finance L.P., J.P. Morgan

Portfolio inflows into Chinese assets have picked up in 1H26



J.P.Morgan

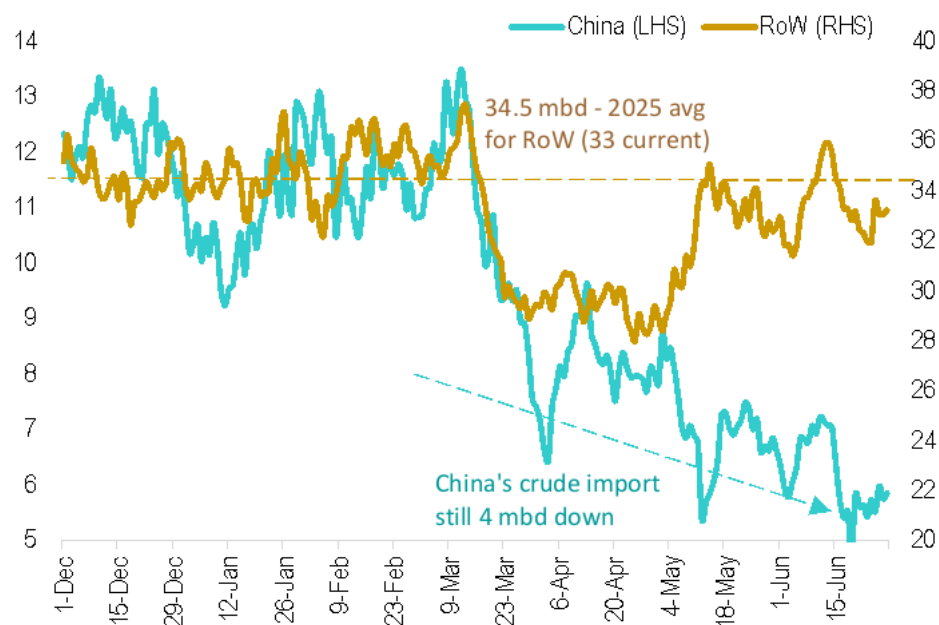
Source for both: Bloomberg Finance L.P., J.P. Morgan

Agenda

	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
2 International rates: Carry on into the summer	10
3 Currencies: Carry plays even if USD takes a break	16
4 Commodities: Patience is a golden virtue	28
5 Emerging Markets: Stay OW EM FX and MW Rates, EM Sovereigns & Corporate	33
6 Appendix	39

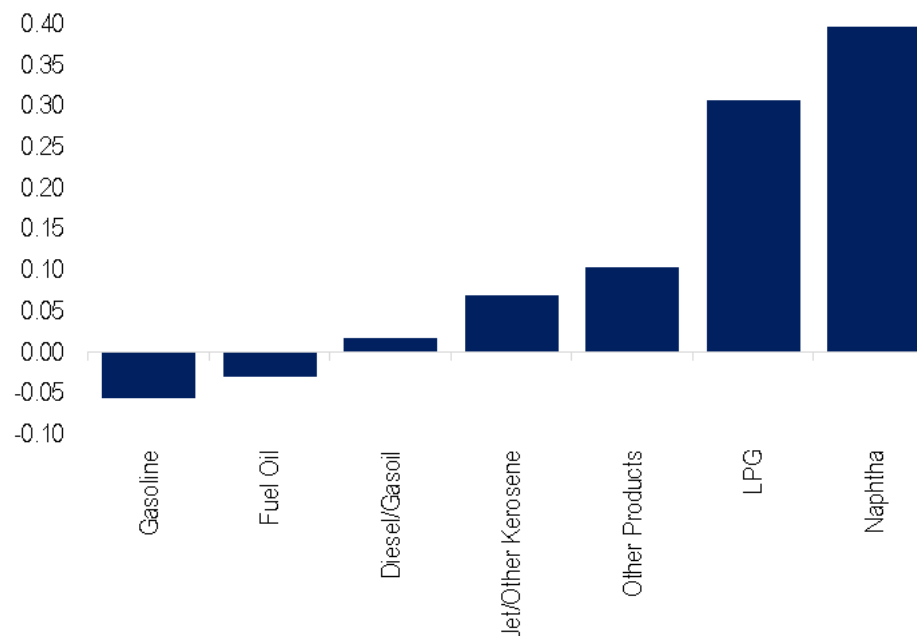
Oil Markets: A reboot without China

Crude import volumes: China vs the rest of the world
mb



Source: Kpler, J.P. Morgan Commodities Research

2027 vs 2026 China demand changes, by product
mb

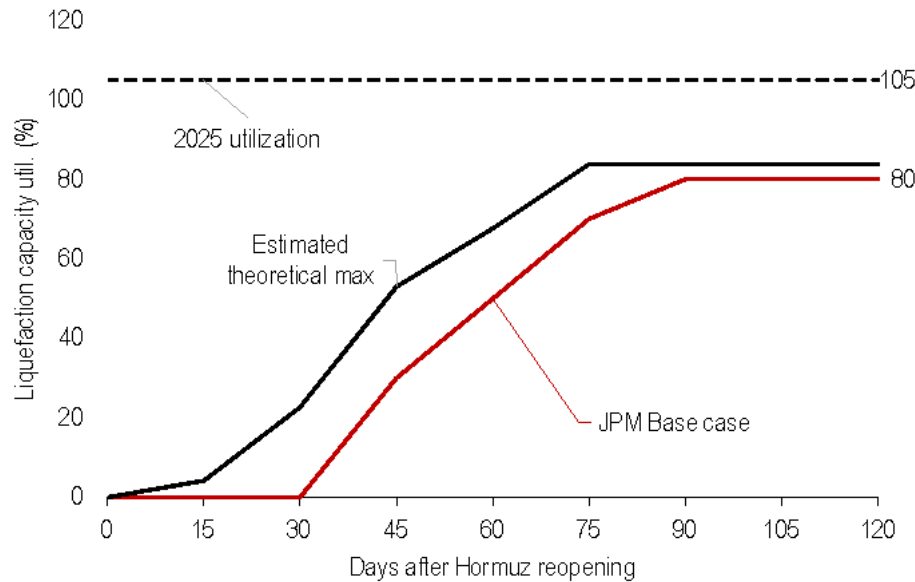


Source: J.P. Morgan Commodities Research, S&P Global Platts, Bloomberg Finance L.P., Oilchem, IIR

- Since the start of the conflict, the world has lost roughly 11.7 mbd of supply. To put that in perspective, that is equivalent to about two weeks of global oil demand vanishing from the system. Roughly 4.3 mbd of that loss was offset by inventory releases—including 1.4 mbd from the US. Another 5.3 mbd was absorbed through demand loss. But the most stunning adjustment came from China. The collapse in Chinese demand and imports accounted for nearly one-third of the entire global adjustment. In effect, China has quietly retrenched enough demand to “subsidize” continued oil consumption in countries like Japan and Australia. The remaining gap was bridged by the surplus that existed before the conflict began.
- Our base case remains that China will ultimately return to the market. There are already signs such as capacity restarts amid recovering margins and flight activity that some of the demand is returning. In total, we estimate China’s oil demand to decline by 600 kbd in 2026, before rebounding by 800 kbd in 2027.

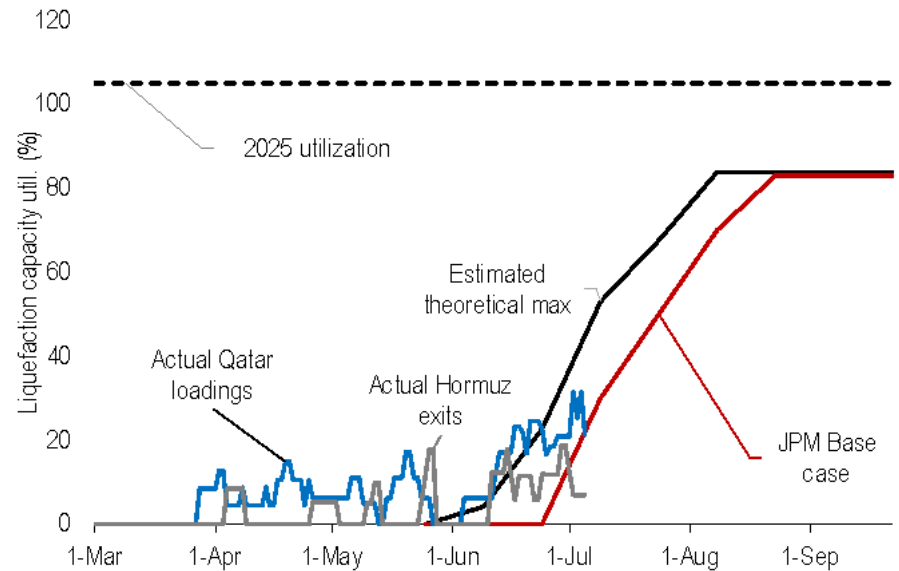
Natural Gas Markets: Qatari ramp-up slows down

Expected ramp up speed of Qatar LNG liquefaction capacity %



Source: J.P. Morgan Commodities Research. Note: Latest forecasts from [Global LNG Analyzer: Again on Qatari restarts](#), 21 April 2026.

Actual ramp up speed of Qatar LNG liquefaction capacity %

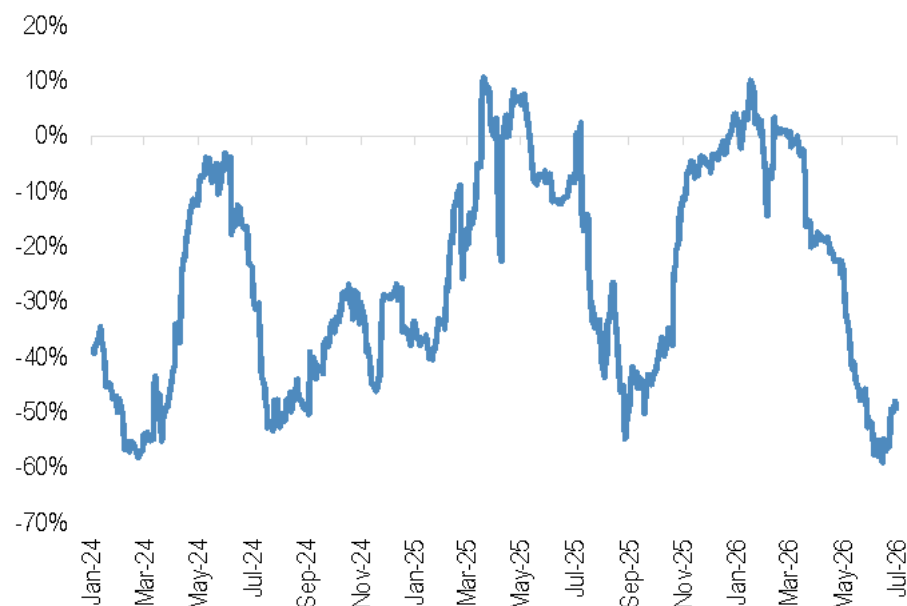


Source: Bloomberg Finance L.P., Wood Mackenzie, J.P. Morgan Commodities Research. Note: Actual loadings and Hormuz exits are 7-day moving averages. Hormuz exits are based on observed number of crossings and average Qatari cargo size, includes all exits (i.e. ballast and UAE loaded cargoes).

- For the week of June 22, Qatar Energy's operation looks broadly stable with about four LNG cargoes loaded over the week, implying a 20% utilization on a 7-DMA. Utilization estimates are based on loading data and don't reflect downstream movement as LNG transit through the Strait of Hormuz are still limited after the weekend escalation and a Qatari warning about non-commercial maritime activity. As a result, many loaded vessels seem to be waiting in the Gulf: the last LNG tanker reportedly exited the Strait on June 25, and the most recent deliveries cited were to Kuwait (June 21) and earlier to the UAE (June 14).
- If the current pace continues and the Strait stays open, Qatar is expected to return to normalized full capacity (excluding the two damaged trains) by August. This timing is broadly consistent with our existing forecast.

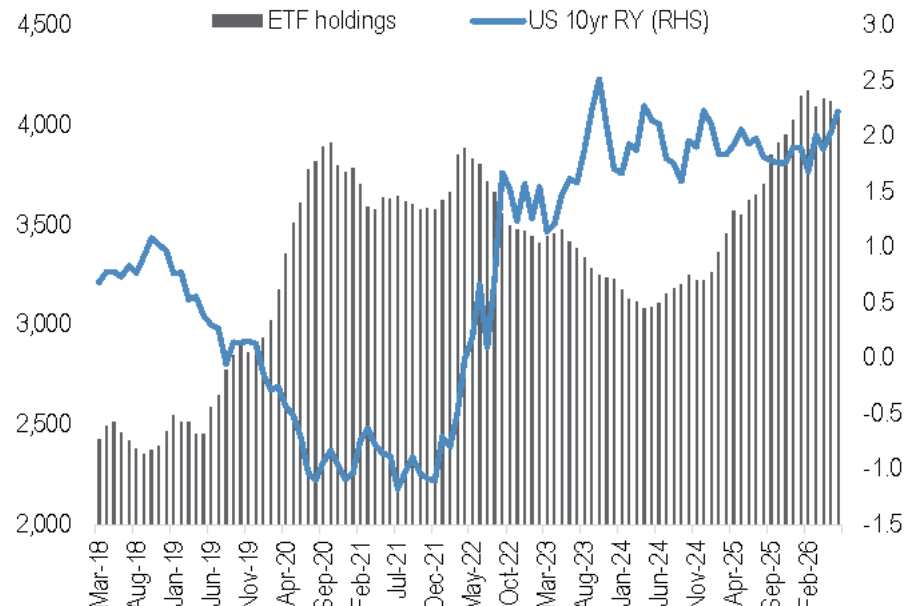
Metals Markets: Patience is a golden virtue as Fed watching now dominates again

Rolling 60-day correlation between US 10yr real yields and the gold price
Percent



Source: Bloomberg Finance L.P.

Global gold ETF holdings and US 10yr real yields
LHS: Tonnes; RHS: Percent, monthly

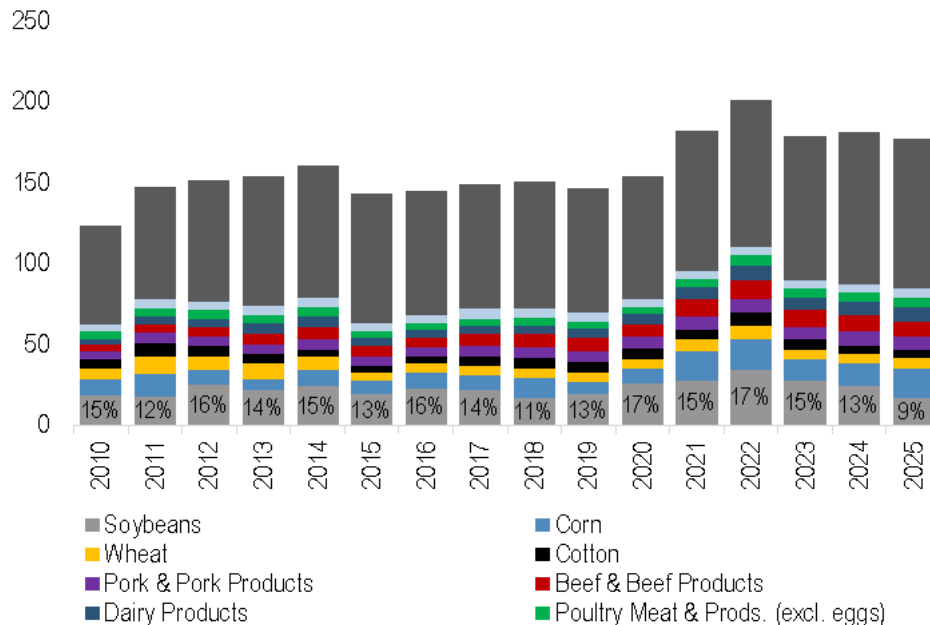


Source: World Gold Council, Bloomberg Finance L.P., J.P. Morgan Commodities Research

- Amid a drop in buying intensity from other demand sectors for now, rate-sensitive ETF flows have regained marginal pricing power in gold, cementing a re-correlation between gold prices and real yields. While we ultimately think the Fed will end up remaining more patient this year, warding off sustained further significant downside for gold from current levels and allowing for a recovery higher over 2H26, reduced demand forecasts point towards an overall more range-bound base case gold outlook in the near-term with prices averaging \$4,300/oz in 3Q26 and \$4,500/oz in 4Q26.
- Nonetheless, we still retain a long-term bullish outlook for gold and see further recovery in prices coming in 2027 as structural central bank and physical buying eventually re-strengthen as the long-term themes driving this accumulation haven't materially changed.

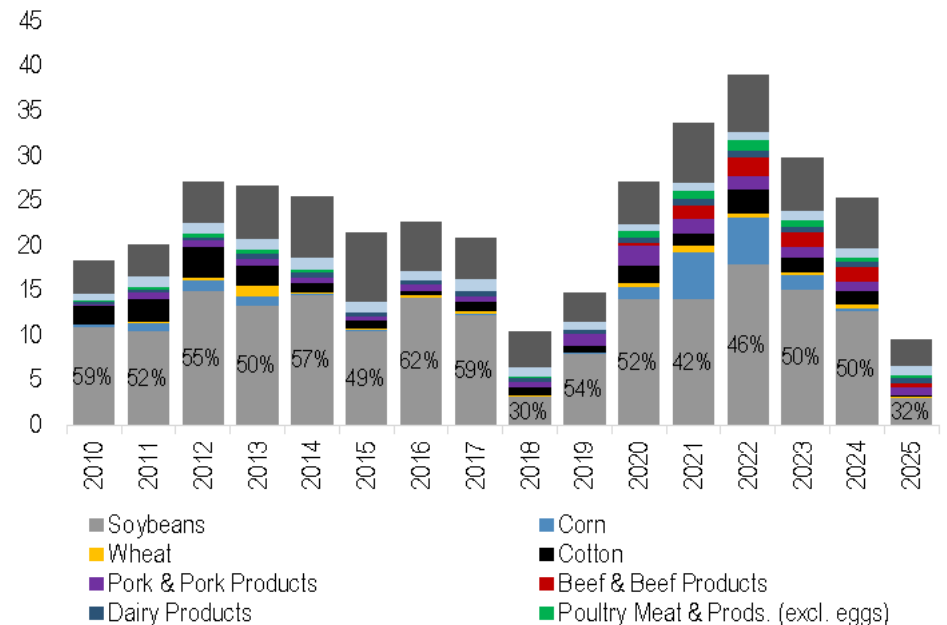
Agriculture: \$17bn US-China agriculture trade deal

Total US agriculture exports
\$ billion



Source: USDA, J.P. Morgan Commodities Research

US agriculture exports to China
\$ billion



Source: USDA, J.P. Morgan Commodities Research

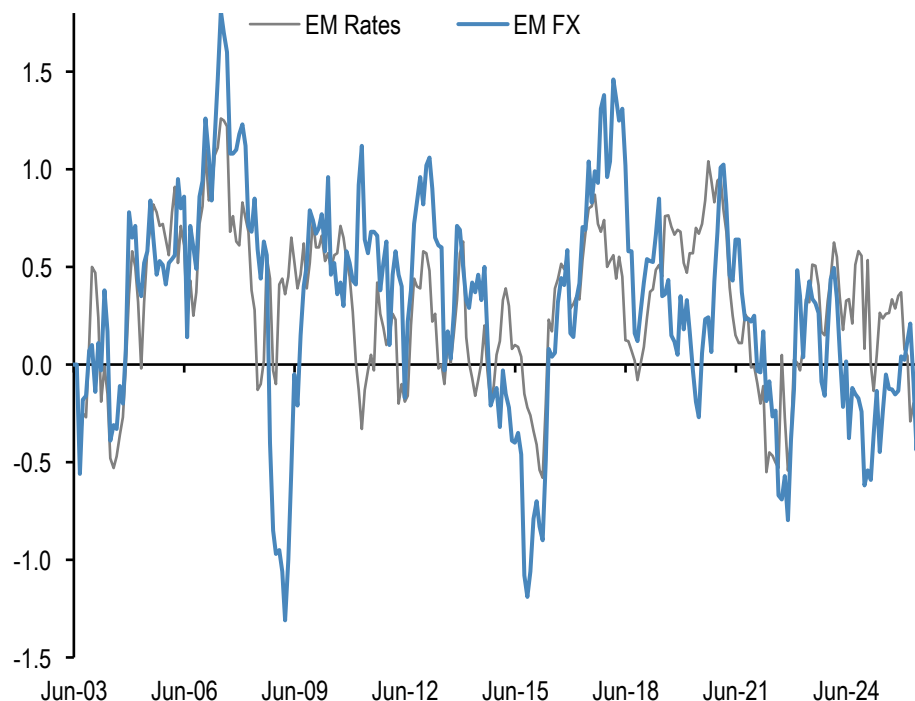
- As part of the US-China summit held on May 15-16 in Beijing, China has agreed to purchase US agricultural products of at least \$17 billion per year in addition to the already agreed upon purchase commitments (announced November 1, 2025) of 25 million tonnes of soybean purchases per year in 2026-28.
- The White House fact sheet also mentioned that China renewed export licenses for more than 400 US beef facilities and added new listings. This was further corroborated by the US Meat Export Federation, which confirmed China's General Administration of Customs (GACC) officially granting a 5-year registration extension to 425 US beef plants and adding 77 additional registrations.
- Additionally, the fact sheet stated a resumption of imports of poultry from US states that are determined by USDA to be free of pathogenic avian influenza.

Agenda

	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
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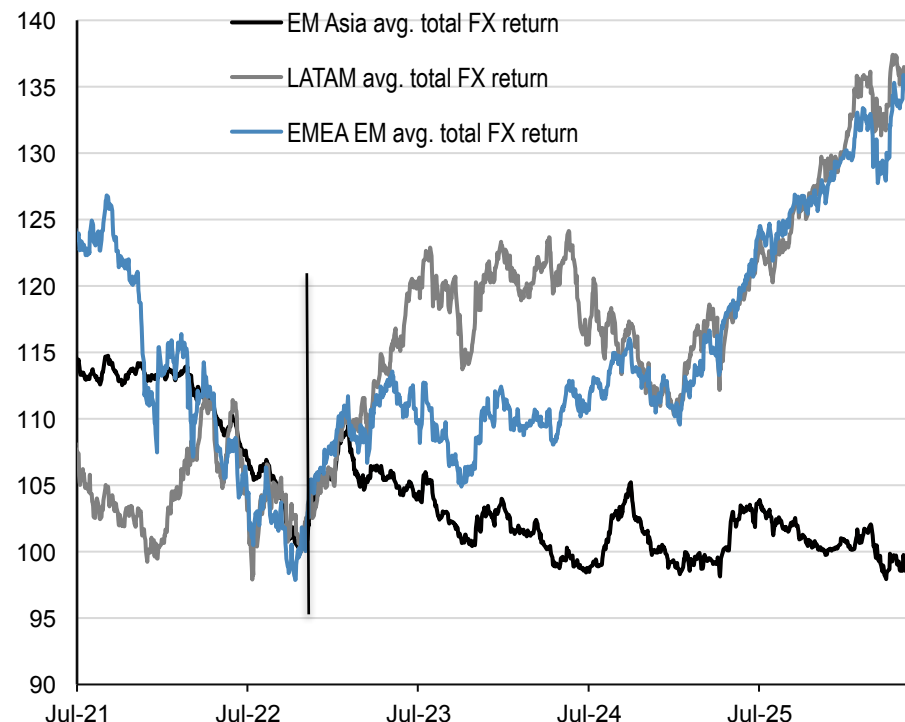
We return to an OW stance in EM FX after we squared our position to MW on April 30

1st principle component measure derived from positioning, flow, vol, skew and technical indicators



Source: J.P. Morgan, Bloomberg Finance L.P., IIF, EPFR

Divergence in regional performance remains considerable



Source: J.P. Morgan, Bloomberg Finance L.P.

- **This is comprised of OWs in Latam (CLP and MXN); OWs in EMEA EM (CZK, HUF, ZAR partially hedged for EURUSD moves via a smaller UW in RSD) and UW in EM Asia (UW THB).**
- Our portfolio remains pro-carry but we also rotate into currencies where central banks are proactively turning hawkish in response to a stronger growth/inflation mix.
- **We remain UW EM Asia, where pressures from the energy shock are most prevalent and where yields are still broadly inadequate to inspire inflows.**

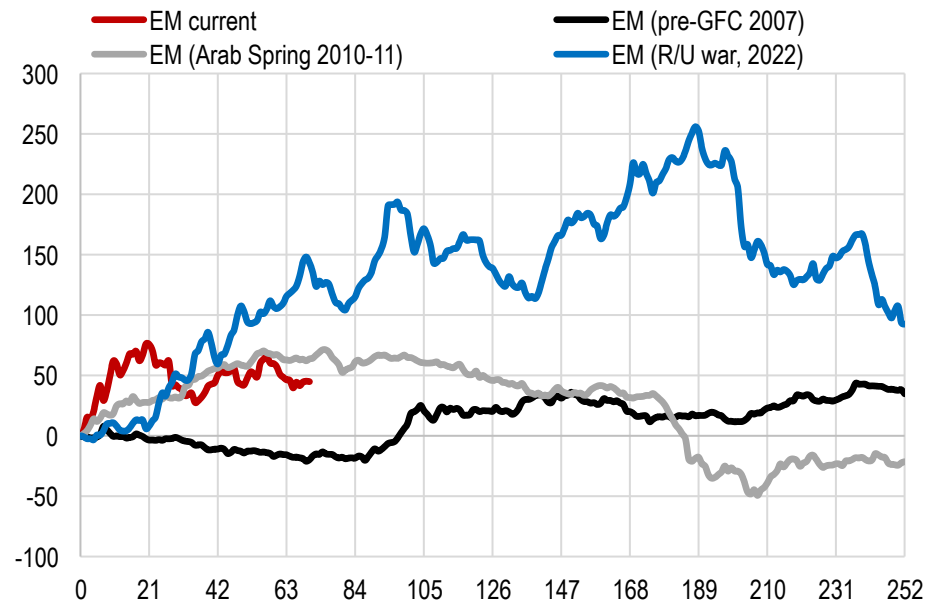
Cross-currents of still large oil volatility, upcoming tightening cycles but better levels and solid fundamentals keep us MW EM Rates

21d rolling correlation between GBI-EM GD yield and 1m fwd Brent crude oil prices, %, using daily changes



Source: J.P. Morgan, Bloomberg Finance L.P.

Left axis: simple average cumulative changes in 5y swap yields (PLN, HUF, CZK, ILS, ZAR, MXN, CLP, INR, KRW, MYR, THB, SGD) from the start of each historical episode and current episode, bp. Bottom axis: business days since start of episode



Source: J.P. Morgan, Bloomberg Finance L.P.

- Rolling correlations of GBI-EM yields to oil prices are still very elevated, albeit off the highs. Accordingly, given the potentially large range of oil price outcomes, it is hard to take a strong directional EM rates view. If oil prices fall sharply on conflict resolution, it is a rather obvious conclusion that EM rates will move sharply lower as an initial reaction.
- Our portfolio OWs are largely idiosyncratically driven (Hungary, Colombia, Mexico), balanced by UWs in Chile, Peru and Thailand.**
- With higher-for-longer oil prices and resilient EM growth, we view EM rates through the reflationary lens into 2H26. We believe the most comparable periods for EM rates into 2H26 are pre-GFC (2005-07), post-GFC (2010-11) and post-QE (2016-19), where EM growth was recovering but inflationary pressures were not extreme and EM FX was not under pressure.

GBI-EM Model Portfolio: We remain OW EM FX and MW EM rates

GBI-EM Model Portfolio and YTD performance

GBI-EM Model Portfolio and YTD Performance

Portfolio Attribution YTD (bp)			Portfolio Positions		
	Bonds	FX	Total		
Country positions	+47	+34	+81	Country positions	Bond CTD 0.075 Bond Weight 3.02% FX Weight 2.25%
Overlay contribution	-1	-6	-8	Overlay position	-0.075 -1.96% -
Final portfolio	+46	+27	+73	Final portfolio	0.000 1.05% 2.25%

Annualized TEV (bp)	+51	Annualized vol of final portfolio active positions (inc. overlays)
1-month VaR (bp)	-26	Portfolio excess return at the 5th percentile over 1-month period. Historical VaR is -29bp

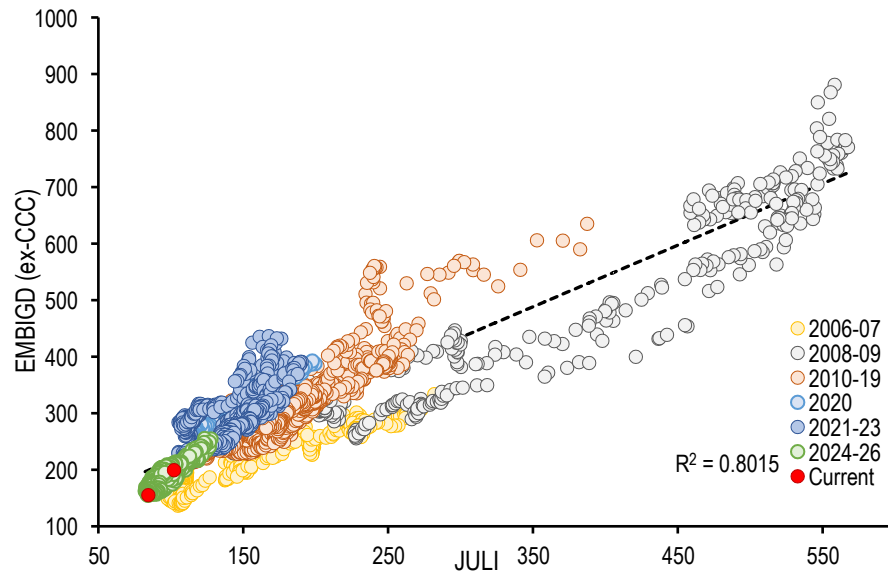
	Final positions		Country positions			YTD excess returns (country positions, bp)		
	Bond View	FX View	Bond CTD	Bond Weight	FX Weight	Bonds	FX	Total
GBI-EM	MW	OW	0.075	+3.02%	+2.25%	+47	+34	+81
EM Asia	UW	UW	(0.100)	-1.65%	-1.00%	-2	+8	+6
EMEA EM	OW	OW	0.150	+3.63%	+1.50%	+41	+16	+57
Latin America	MW	OW	0.025	+1.46%	+1.75%	+8	+10	+18
China	MW	MW	-	-	-	-	-	-
India	MW	MW	-	-	-	-	+0	+0
Indonesia	MW	MW	-	-	-	-	-	-
Malaysia*	MW	MW	-	-	-	-	+0	+0
Thailand	UW	UW	(0.100)	-1.65%	-1.00%	-2	+7	+5
Czech Republic	MW	OW	-	-	+0.75%	-	-2	-2
Hungary	OW	OW	0.150	+3.63%	+1.50%	+29	+16	+45
Poland	MW	MW	-	-	-	-4	-6	-10
Romania	MW	MW	-	-	-	+7	-1	+6
Turkey	MW	MW	-	-	-	-	+5	+5
Serbia	MW	UW	-	-	-1.25%	-	+2	+2
South Africa	MW	OW	-	-	+0.50%	+9	+1	+10
Brazil	MW	MW	-	-	-	-8	+0	-8
Chile	UW	OW	(0.075)	-1.48%	+0.50%	-0	+1	+0
Colombia	OW	MW	0.100	+2.38%	-	+9	-	+9
Dominican Republic	MW	MW	-	-	-	+4	+6	+10
Mexico	OW	OW	0.100	+2.07%	+1.00%	+3	+5	+7
Peru	UW	MW	(0.125)	-1.94%	-	-1	-2	-3
Uruguay	MW	MW	-	-	-	-	-	-
Paraguay	OW	OW	0.025	+0.43%	+0.25%	+1	+0	+1

*FX carry returns calculated using T-Bills (up to 3m)

Source: J.P. Morgan; YTD statistics as of 02-Jul-26 COB. *FX returns calculated using Malaysia T-bills (up to 3m).

EM credit spreads will hold tight levels and could even grind tighter unless there is a concern of a growth shock; Stay MW

In 2006-7, EM sovereigns (ex CCC) were even tighter for a wider level of JULI STW (bp)



Note: VENZ – spread chg to date: -2744, to peak sell off: -1994.

Source: J.P. Morgan.

EM corporate sensitivity to rates by region with local funding and external vulnerability assessment

CEMBI sensitivity to rates						
	Average life	Duration	YTW	Note	Local funding	External vulnerability
Asia	5.6	3.7	5.5	Overall short duration	Low but rising rates, abundant local liquidity	Low due to strong current accounts and FX reserves
Asia IG	5.9	4.0	5.0	Short for IG	Very strong local investor support	Strong current account surplus with high ratings
Asia HY	4.5	2.9	7.6	Very short duration, high yield		Smaller surpluses and some external concerns
Latin America	7.7	4.7	6.8	Longest region	Rates on the higher side, especially Brazil. Local funding markets still in development phase	Medium risk, but commodity cycle provides some offsets
Latin America IG	9.6	6.0	5.7	Longest segment		
Latin America HY	6.4	3.9	7.8	Long for HY		
Middle East	6.3	4.2	5.8	Average	Strong local investor support, but hard currency liquidity dependent on oil exports	Low due to pegged currencies, but geopolitics a variable
Middle East IG	6.7	4.5	5.4			
Middle East HY	5.0	3.3	7.5			
EM Europe	5.1	3.5	7.2	Short with high yield	Mixed, EUR funding an option	Mixed, watch Turkey
Africa	7.5	4.3	6.3	Average		High

Source: J.P. Morgan.

- **EM credit spreads will hold tight levels and could even grind tighter unless there is a concern of a growth shock.** EM credit spreads are historically tight, and the risks ahead seem asymmetric for marginal additional tightening vs potentially significant widening. That said, credit spread product is broadly tight across different asset classes. If we compare the EMBIGD (ex CCC) vs the historically tight levels for US IG credit, we can see back in 2006-07 period, EM sovereigns were even tighter for a wider level of JULI.
- **We believe that EM corporates should be less exposed to the negative repercussions from higher rates compared to history as well as other EM asset classes.**
- **There are three broad channels through which higher rates can affect the fundamentals of EM corporates** - direct impact on funding costs in both hard and local currency, external vulnerability concerns on a country level if there is perceived weakness in the balance of payments with currency volatility, and ultimately fears of global recession risk.

EMBIGD Model Portfolio: Remain MW

<i>Portfolio Returns YTD</i>						<i>Portfolio Attribution YTD</i>					
Benchmark return						2.95%				Market position return (bp):	4
Portfolio return						3.39%				Credit selection return (bp):	40
Portfolio Performance (bp)						43				Portfolio Outperformance (bp):	43
Portfolio return -12 months-						11.8%					
Benchmark return -12 months-						10.7%					
As of July 02, 2026					Since Initiation		YTD Changes & Returns				
<i>Credit selection returns</i>	Current				Initiation Date	Spread	Spread Chg	Spread	Spread	Carry	Credit
	View	Position	Spread	Duration		Chg vs EMBIG (bp)		Chg vs EMBIG (bp)			
Argentina	OW	1.0%	414	4.4	3-Oct-24	(741)	(146)	(130)	5	2	7
Colombia	OW	0.5%	190	6.2	8-Jun-26	(12)	(8)	(12)	1	(0)	1
Ecuador	OW	1.0%	414	5.5	25-Nov-25	(182)	(78)	(62)	5	1	6
Egypt	OW	1.0%	342	6.1	8-Apr-26	(71)	(118)	(71)	3	0	3
Saudi Arabia	OW	1.0%	89	6.2	8-May-26	4	6	4	(0)	(0)	(1)
South Africa	OW	1.0%	197	8.0	28-May-26	(6)	(7)	(6)	0	(0)	0
Brazil	UW	-0.5%	176	6.8	8-Jun-26	0	4	0	1	0	1
Indonesia	UW	-1.0%	82	7.1	29-Oct-24	115	22	38	5	1	6
Nigeria	UW	-1.0%	282	5.7	28-May-26	14	13	14	1	(0)	1
Oman	UW	-1.0%	90	5.6	8-May-26	8	9	8	1	0	1
Poland	UW	-1.0%	83	7.6	8-Apr-26	30	(17)	30	3	0	3
Uruguay	UW	-1.0%	60	9.1	18-Feb-26	(7)	(13)	(7)	(0)	1	1
Closed position return (bp):		10.3							Current Credit selection return(bp)		29

Source: J.P. Morgan

Agenda

	Page
1 US Rates: Life, Liberty, and the pursuit of hawkishness	2
2 International rates: Carry on into the summer	10
3 Currencies: Carry plays even if USD takes a break	16
4 Commodities: Patience is a golden virtue	28
5 Emerging Markets: Stay OW EM FX and MW Rates, EM Sovereigns & Corporate	33
6 Appendix	39

Global economic outlook summary

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.0	2.1	<u>2.3</u>	1.5	1.8	2.3	2.3	2.7	3.9	3.6 ↓	1.9 ↓
Canada	1.9	0.4	1.5	-0.1	<u>1.0</u>	1.4	1.4	1.7	1.7	2.2	2.6	1.8	1.3
Latin America	2.1	1.9	2.0	1.6	3.4 ↓	1.6	1.5	1.6	2.0	3.9	4.3	4.4	3.8 ↑
Argentina	4.4	3.2	3.2	3.0	<u>5.5</u>	4.0	3.0	2.8	3.4	31.8	32.8	29.4	20.5
Brazil	2.3	1.8	1.6	4.5	<u>2.0</u>	0.8	0.4	1.6	1.6	4.5	4.6	4.8	3.6
Chile	2.5	1.0 ↓	3.2 ↓	-1.1	1.0 ↓	5.0 ↑	3.5	2.5 ↑	3.0 ↑	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	<u>2.5</u>	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	<u>0.3</u>	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.2	1.7	-2.4	<u>5.5</u>	1.0	2.0	0.8	1.7	3.7	4.0	3.9	3.7
Peru	3.4	3.0	2.9	2.4	<u>2.5</u>	4.0	2.5	3.5	2.7	1.4	4.0 ↓	4.1 ↓	3.2 ↑
Uruguay	1.8	1.1	1.4	3.2	<u>0.4</u>	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	3.7	5.9	<u>3.1</u>	3.3	3.5 ↑	4.0	4.0	1.2	2.0	2.4	2.0
Japan	1.1	0.7	0.9 ↑	1.8	<u>0.8 ↑</u>	1.0	1.3 ↑	1.0 ↑	0.7	2.7	1.5	3.1	3.5
Australia	2.0	2.0	1.8	1.1	<u>1.6</u>	1.5	1.9	1.5	1.7	3.6	4.3	4.2	3.6
New Zealand	0.2	2.1	2.3	3.2	<u>1.2</u>	3.4	1.2	4.0	1.0	3.1	3.9	3.5	2.3
EM Asia	5.2	4.9	4.2	6.7	3.6 ↑	3.7	3.9	4.6	4.6	0.9	2.0	2.1	1.7
China	5.0	4.7	4.0	6.7	<u>3.3</u>	3.5	3.7	4.5	4.5	0.6	1.2	1.0	0.7
India	7.7	6.5	6.3	8.0	<u>5.1</u>	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.8 ↑	3.6	6.0	3.4 ↑	3.5 ↑	3.3 ↑	3.8	3.8 ↓	1.8	2.9	3.4	2.4
Hong Kong	3.6	3.4	2.9	12.2	<u>3.0</u>	2.8	2.8	3.0	2.8	1.3	1.6	1.7	1.6
Indonesia	5.1	4.7	4.9	5.7	<u>3.6</u>	3.0	2.6	6.2	6.1	2.8	2.9	3.6	2.7
Korea	1.1	3.7	2.7	7.5	<u>2.0</u>	4.0	3.0	2.5	2.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.0	4.3	1.7	<u>7.0</u>	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	4.0	5.6	3.8	<u>4.9</u>	5.7	8.2	4.1	5.5	1.7	6.9	8.1	4.9
Singapore	5.0	4.6	2.7	3.9	<u>5.0</u>	2.0	2.0	3.0	3.0	1.2	1.9	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	<u>4.5</u>	3.2	3.2	4.0	4.0	1.3	2.1	2.2	1.7
Thailand	2.4	2.8 ↑	2.5	2.7	<u>0.8 ↑</u>	2.8 ↑	2.8 ↑	2.8 ↓	2.4 ↓	-0.5	2.8	3.9	1.4
Western Europe	1.5	0.6	1.3	-0.3	<u>0.7</u>	1.0	1.4 ↑	1.5 ↑	1.5	2.3	2.9 ↓	2.9 ↓	2.1
Euro area	1.5	0.4	1.3	-0.9	<u>0.5</u>	1.0	1.5 ↑	1.5 ↑	1.5	2.1	3.0 ↓	3.0 ↓	2.0
Germany	0.3	0.8	1.5 ↑	1.4	<u>0.3</u>	1.3	1.8 ↑	1.8 ↑	1.8	2.3	2.7	2.4 ↓	2.0
France	0.9	0.5	1.0	-0.4	<u>0.0</u>	0.5	1.3 ↑	1.3 ↑	1.0 ↓	0.8	2.4 ↓	2.3 ↓	1.3 ↓
Italy	0.7	0.7	0.6 ↑	1.1	<u>0.0</u>	0.5 ↑	0.8 ↑	0.8 ↑	0.5 ↓	1.2	3.0 ↓	3.8 ↓	1.8 ↑
Spain	2.8	2.4 ↑	1.8 ↑	2.5	<u>2.0</u>	2.0 ↑	2.0 ↑	1.8 ↑	1.8	3.1	3.6	3.6 ↑	2.9 ↑
Norway	1.7	1.0	1.6	0.6	<u>1.4</u>	1.8	1.8	1.8	1.5	3.1	3.3	3.7	2.6
Sweden	1.7	2.1	2.0	-0.6	<u>4.0</u>	2.0	2.3	2.0	1.8	0.5	0.3	0.9	2.0
United Kingdom	1.3 ↓	1.1 ↓	1.2	2.5	<u>1.0</u>	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	2.0	2.9	-0.6	<u>4.2</u>	3.3	2.8	2.7	2.5	10.6	10.4	9.3 ↓	7.8 ↓
Czech Republic	2.5	2.1	2.2	0.8 ↑	<u>2.5</u>	2.0	2.5	2.1	2.1	2.2	2.1 ↓	2.0 ↓	1.9 ↓
Hungary	0.4	1.9	2.7	3.2	<u>1.8</u>	1.9	2.5	3.0	3.3	3.8	1.9	1.9 ↓	2.8 ↓
Israel	2.9	3.6	4.2	-3.8	<u>10.0</u>	5.5	3.8	3.5	3.5	2.5	1.8	1.6	1.5
Poland	3.6	3.4	2.9	2.4	<u>4.3</u>	3.3	3.0	2.8	2.5	2.6	2.9 ↓	2.8 ↓	2.9 ↓
Romania	0.7	0.0	3.0	0.0	<u>3.4</u>	3.6	3.2	2.8	2.4	9.7	10.6	5.4	4.4
Russia	1.0	1.0	1.9	-3.1	<u>4.3</u>	2.0	1.8	1.5	1.8	6.6	5.6 ↑	5.6 ↑	4.9 ↑
South Africa	1.1	1.1	1.4	2.2	<u>0.0</u>	1.5	1.2	1.6	1.6	3.6	4.5	4.3 ↑	3.1 ↑
Türkiye	3.6	3.0	4.6	0.5	<u>4.0</u>	5.5	4.6	4.5	3.5	31.6	32.3	29.1	23.5
Global	2.8	2.5	2.5	2.7	<u>2.4</u>	2.1	2.4 ↑	2.7 ↑	2.7	2.7	3.4	3.4 ↓	2.5
Developed markets	1.8	1.4	1.6	1.1	<u>1.5</u>	1.3	1.6 ↑	1.9 ↑	1.8	2.6	3.3 ↓	3.3 ↓	2.1 ↓
Emerging markets	4.2	4.0	3.7	4.9	<u>3.6</u>	3.3	3.4	3.9	3.9	2.8	3.6	3.6	2.9
Emerging ex China	3.6	3.5	3.4	3.3	<u>3.9</u>	3.2	3.2	3.3	3.5	4.7	5.6	5.8	4.8
Global — PPP weighted	3.3	2.9	2.9	3.2	<u>2.7</u>	2.5 ↑	2.7 ↑	3.0	3.1	2.9	3.7	3.8	2.9 ↓

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of Global Data Watch, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature

Global Central Bank Watch

	Official rate	Current rate (%pa)	4-qrtr change (bp)		Last change	Next mtg	Forecast next change	Forecast (%pa)				
			Last	Next				Sep 26	Dec 26	Mar 27	Jun 27	Sep 27
Global		3.97	-53	-13				3.97	3.96	3.91	3.85	3.84
excluding US		4.06	-39	-28				4.06	4.04	3.98	3.90	3.78
Developed		3.08	-36	16				3.16	3.19	3.19	3.19	3.24
Emerging		5.28	-78	-54				5.16	5.08	4.96	4.83	4.73
Latin America		10.02	-69	-99				9.85	9.65	9.46	9.26	9.03
EMEA EM		14.80	-413	-254				14.38	13.88	13.19	12.69	12.26
EM Asia		2.33	-5	-3				2.29	2.32	2.34	2.30	2.30
The Americas		4.53	-73	6				4.50	4.48	4.45	4.42	4.59
United States	Fed funds	3.75	-75	25	10 Dec 25 (-25bp)	29 Jul 26	Sep 27 (+25bp)	3.75	3.75	3.75	3.75	4.00
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	15 Jul 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.25	-75	-250	17 Jun 26 (-25bp)	5 Aug 26	Aug 26 (-25bp)	13.75	13.25	12.75	12.25	11.75
Mexico	Repo rate	6.50	-150	0	7 May 26 (-25bp)	6 Aug 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-50	75	16 Dec 25 (-25bp)	28 Jul 26	1Q27 (+25bp)	4.50	4.50	4.75	5.00	5.25
Colombia	Repo rate	12.00	275	-25	30 Jun 26 (+75bp)	31 Jul 26	Jul 26 (+50bp)	12.50	12.50	12.50	12.25	11.75
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	<u>9 Jul 26</u>	7 Oct 26 (+25bp)	4.25	4.50	4.75	5.00	5.25
Europe/Africa		5.36	-87	-58				5.41	5.34	5.18	5.03	4.78
Euro area	Depo rate	2.25	25	0	11 Jun 26 (+25bp)	23 Jul 26	Sep 26 (+25bp)	2.50	2.50	2.50	2.50	2.25
United Kingdom	Bank rate	3.75	-50	0	18 Dec 25 (-25bp)	30 Jul 26	Nov 26 (+25bp)	3.75	4.00	4.00	3.75	3.75
Norway	Dep rate	4.25	0	0	7 May 26 (+25bp)	13 Aug 26	Sep 26 (+25bp)	4.50	4.50	4.50	4.25	4.25
Sweden	Repo rate	1.75	-25	25	23 Sep 25 (-25bp)	20 Aug 26	Dec 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.75	25	25	18 Jun 26 (+25bp)	6 Aug 26	Aug 26 (+25bp)	4.00	4.00	4.00	4.00	4.00
Hungary	Base rate	6.00	-50	-125	23 Jun 26 (-25bp)	21 Jul 26	Jul 26 (-25bp)	5.25	5.00	4.75	4.75	4.75
Israel	Base rate	3.75	-75	-75	25 May 26 (-25bp)	<u>6 Jul 26</u>	Jul 26 (-25bp)	3.25	3.00	3.00	3.00	3.00
Poland	7-day interv	3.75	-125	0	4 Mar 26 (-25bp)	<u>8 Jul 26</u>	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-50	7 Aug 24 (-25bp)	<u>8 Jul 26</u>	May 27 (-25bp)	6.50	6.50	6.50	6.25	6.00
Russia	Key pol rate	14.25	-575	-325	19 Jun 26 (-25bp)	24 Jul 26	Jul 26 (-25bp)	13.75	13.00	12.25	11.50	11.00
South Africa	Repo rate	7.00	-25	-50	28 May 26 (+25bp)	23 Jul 26	Jul 26 (+25bp)	7.25	7.25	7.25	7.00	6.50
Türkiye	1-wk repo	37.00	-900	-600	22 Jan 26 (-100bp)	23 Jul 26	10 Sep 26 (-100bp)	36.00	35.00	33.00	32.00	31.00
Asia/Pacific		2.28	3	3				2.25	2.31	2.33	2.32	2.31
Australia	Cash rate	4.35	50	-25	5 May 26 (+25bp)	11 Aug 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.10
New Zealand	Cash rate	2.25	-100	100	26 Nov 25 (-25bp)	<u>8 Jul 26</u>	Jul 26 (+25bp)	2.75	3.00	3.25	3.25	3.25
Japan	O/N call rate	1.00	52	50	16 Jun 26 (+25bp)	31 Jul 26	Oct 26 (+25bp)	1.00	1.25	1.25	1.50	1.50
Hong Kong	Disc. wndw	4.00	-75	25	10 Dec 25 (-25bp)	-	Sep 27 (+25bp)	4.00	4.00	4.00	4.00	4.25
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	3Q 26 (-10bp)	1.30	1.30	1.30	1.20	1.20
Korea	Base rate	2.50	0	100	29 May 25 (-25bp)	16 Jul 26	Jul 26 (+25bp)	2.75	3.00	3.25	3.50	3.50
Indonesia	BI RRR	5.75	25	25	18 Jun 26 (+25bp)	22 Jul 26	Jul-26 (+25bp)	6.00	6.00	6.00	6.00	6.00
India	Repo rate ^c	5.25	-25	0	5 Dec 25 (-25bp)	5 Aug 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	0	25	9 Jul 25 (-25bp)	<u>9 Jul 26</u>	On hold	2.75	3.00	3.00	3.00	3.00
Philippines	Rev repo	4.75	-50	125	18 Jun 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	5.00	5.50	5.75	6.00	6.00
Thailand	1-day repo	1.00	-75	0	25 Feb 26 (-25bp)	26 Aug 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	17 Sep 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China;

Honn Knnn SAR (China) and Taiwan (China)

J.P.Morgan

US & International Rates forecast

		26-Jun	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
US	Fed funds	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	-
	SOFR	3.64	3.60	3.60	3.60	3.65	-
	2Y bmk yield	4.10	4.15	4.20	4.20	4.30	65
	5Y bmk yield	4.15	4.40	4.45	4.50	4.50	47
	10Y bmk yield	4.40	4.65	4.70	4.75	4.75	27
	30Y bmk yield	4.88	5.10	5.15	5.15	5.15	7
	2s/10s bmk curve	30	50	50	55	45	-38
	10s/30s bmk curve	49	45	45	40	40	-20
	2s/30s bmk curve	78	95	95	95	85	-57

Euro area	Refi rate	2.40	2.65	2.65	2.65	2.65	-
	Depo rate	2.25	2.50	2.50	2.50	2.50	-
	3M Euribor	2.29	2.50	2.50	2.50	2.50	28
	2Y bmk yield	2.51	2.60	2.55	2.45	2.40	40
	5Y bmk yield	2.59	2.70	2.65	2.60	2.55	14
	10Y bmk yield	2.86	2.95	2.90	2.85	2.80	1
	30Y bmk yield	3.42	3.45	3.45	3.40	3.35	-6
	2s/10s bmk curve	34	35	35	40	40	-39
	10s/30s bmk curve	56	50	55	55	55	-6
vs. 6s	2s/30s bmk curve	91	85	90	95	95	-45
	2Y swap spread	19	20	19	18	17	5
	5Y swap spread	12	12	13	13	14	2
	10Y swap spread	4	2	4	6	7	-1
	30Y swap spread	-34	-34	-31	-29	-26	-11

10Y spread to Germany (curve adj.)	Austria	25	28	28	28	28	-3
	Belgium	57	55	58	60	55	7
	Finland	35	33	33	33	33	5
	France	78	75	80	85	75	10
	Greece	69	70	70	70	70	8
	Ireland	17	15	15	15	15	-3
	Italy	78	85	85	80	80	12
	Netherlands	12	10	10	10	10	0
	Portugal	39	38	38	38	38	9
	Spain	49	45	45	45	45	7
	EU	42	38	35	35	35	9

		26-Jun	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
UK	Base rate	3.75	3.75	4.00	4.00	3.75	-
	2Y bmk yield	4.14	4.25	4.20	4.15	4.10	39
	5Y bmk yield	4.29	4.35	4.35	4.35	4.25	22
	10Y bmk yield	4.75	4.80	4.80	4.75	4.70	19
	30Y bmk yield	5.47	5.45	5.45	5.45	5.40	28
	2s/10s bmk curve	61	55	60	60	60	-19
	10s/30s bmk curve	72	65	65	70	70	8
	2s/30s bmk curve	133	120	125	130	130	-11
vs. SONIA	2Y swap spread	-14	-10	-12	-15	-17	11
	5Y swap spread	-23	-22	-24	-26	-26	15
	10Y swap spread	-45	-45	-47	-50	-50	11
	30Y swap spread	-69	-70	-68	-65	-65	3

Japan	Policy rate	0.75	1.00	1.25	1.25	1.50	-
	2Y bmk yield	1.41	1.45	1.50	1.50	1.60	24
	5Y bmk yield	1.88	1.95	2.00	2.00	2.05	33
	10Y bmk yield	2.61	2.95	2.95	2.95	3.05	54
	20Y bmk yield	3.51	3.85	3.85	3.85	3.95	52
	30Y bmk yield	3.79	4.10	4.10	4.10	4.10	39
	2s/10s bmk curve	120	150	145	145	145	30
	10s/30s bmk curve	119	115	115	115	105	-15
	2s/30s bmk curve	238	265	260	260	250	15

Australia	Cash rate	4.35	4.35	4.35	4.35	4.35	-
	3Y bmk yield	4.37	4.30	4.10	4.10	4.00	24
	10Y bmk yield	4.74	4.70	4.50	4.60	4.50	0

New Zealand	Cash rate	2.25	2.75	3.00	3.25	3.25	-
	2Y bmk yield	3.32	3.50	3.50	3.50	3.50	31
	10Y bmk yield	4.34	4.40	4.30	4.20	4.15	-10

Sweden	Repo rate	1.75	1.75	2.00	2.00	2.00	-
	2-year govt	2.12	2.35	2.35	2.30	2.25	3
	10-year govt	2.65	2.80	2.80	2.75	2.75	-17

Norway	Depo rate	4.25	4.50	4.50	4.50	4.25	-
	2-year govt	4.47	4.55	4.45	4.20	4.00	50
	10-year govt	4.38	4.30	4.25	4.10	4.00	29

Source: J.P. Morgan. Levels as of 1pm London time. **Newly issued benchmark change is from inception up to COB

Commodities price forecasts

J. P. Morgan commodities price forecast

Quarterly and annual averages

		1Q26A	2Q26A	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2026	2027
Energy											
WTI Crude	US\$/bbl	73	93	81	74	67	63	56	52	80	59
Brent Crude	US\$/bbl	78	97	86	80	71	67	60	56	85	63
US Natural Gas (Henry Hub)	US\$/MMBtu	4.0	2.9	3.6	4.2	4.0	3.5	3.6	3.9	3.7	3.7
European Natural Gas (TTF)	EUR/MWh	40	46	55	60	60	40	40	45	50	46
UK Natural Gas (NBP)	GBp/Therm	101	115	136	152	152	98	98	114	126	116
Japan Korea Marker (JKM)	US\$/MMBtu	13.2	17.9	19.1	20.8	20.8	14.5	14.5	15.7	17.8	16.4
Base Metals											
Aluminum	US\$/mt	3,198	3,562	3,800	3,700	3,450	3,200	2,900	2,750	3,565	3,075
Copper	US\$/mt	12,824	13,352	14,500	14,800	14,000	13,800	13,800	13,600	13,869	13,800
Nickel	US\$/mt	17,338	18,090	17,000	17,250	17,500	18,000	18,000	17,500	17,419	17,750
Zinc	US\$/mt	3,237	3,464	3,500	3,400	3,300	3,200	3,050	3,000	3,400	3,138
Precious Metals											
Gold	US\$/t oz	4,873	4,508	4,300	4,500	4,600	4,700	4,800	5,000	4,545	4,775
Silver	US\$/t oz	83.7	73.1	62.5	63.0	63.0	63.5	64.0	65.0	70.6	63.9
Platinum	US\$/t oz	2,204	1,916	1,700	1,800	1,875	1,900	1,950	1,950	1,905	1,919
Palladium	US\$/t oz	1,706	1,409	1,300	1,350	1,400	1,350	1,250	1,200	1,441	1,300
Agriculture											
Wheat	USc/bu	556	608	560	580	570	570	560	600	576	575
Corn	USc/bu	438	444	450	470	460	460	450	480	450	463
Soybeans	USc/bu	1,117	1,162	1,050	1,100	1,100	1,130	1,100	1,150	1,107	1,120
Sugar (ICE #11)	Usc/lb	14.6	14.2	15.5	17.0	17.0	16.5	17.0	17.5	15.3	17.0
Cotton (ICE #2)	Usc/lb	64	77	74	75	75	76	76	76	73	76
MDE-Bursa Palm Oil	MYR/tonne	4,173	4,505	4,500	4,500	4,600	4,500	4,600	4,700	4,420	4,600

Source: J.P. Morgan Commodities Research. *1Q26 and 2Q26 are realized.

Global FX forecasts (1 of 2)

Exchange rates vs. U.S. dollar

Majors	Current					JPM forecast gain/loss vs March 27*			Actual change in local FX vs USD			
	29-May	Jun 26	Sep 26	Dec 26	Mar 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
EUR	1.16	1.17	1.15	1.14	1.13	-3.0%	-4.1%	-5.0%	-0.3%	-1.4%	-0.9%	2.4%
JPY	159	158	160	164	164	-2.9%	-5.2%	-7.3%	0.7%	-2.0%	-1.6%	-9.5%
GBP	1.34	1.34	1.31	1.28	1.30	-3.3%	-3.1%	-4.5%	-0.3%	-0.4%	-0.3%	-0.5%
AUD	0.72	0.73	0.71	0.69	0.69	-3.8%	-3.2%	-5.5%	0.8%	0.8%	7.5%	11.3%
CAD	1.38	1.37	1.38	1.39	1.39	-0.5%	-1.7%	-2.9%	-1.0%	-1.3%	-0.7%	-0.1%
NZD	0.60	0.62	0.62	0.61	0.61	2.1%	1.4%	0.0%	2.5%	-0.4%	3.8%	0.1%
JPM USD index	107.1	106.7	107.1	107.4	107.5	0.4%	1.1%	1.6%	-0.2%	1.0%	-0.6%	-2.5%
DXY	99.1	98.6	100.3	101.5	101.9	2.8%	-4.0%	5.1%	0.1%	1.5%	0.8%	-0.2%
Europe, Middle East & Africa												
CHF	0.78	0.78	0.79	0.80	0.81	-2.9%	-6.0%	-4.0%	1.2%	-1.6%	1.3%	5.2%
ILS	2.80	2.85	2.80	2.70	2.70	3.9%	3.2%	7.4%	6.5%	11.8%	13.6%	24.4%
SEK	9.25	9.23	9.39	9.47	9.47	-2.3%	-3.8%	-6.0%	0.7%	-2.4%	-0.5%	3.2%
NOK	9.25	9.06	9.13	9.21	9.29	-0.4%	0.1%	-2.2%	0.9%	2.8%	9.0%	9.4%
CZK	20.85	20.77	21.22	21.49	21.77	-4.2%	-4.6%	-6.2%	0.2%	-1.6%	-1.3%	5.2%
PLN	3.63	3.68	3.74	3.77	3.81	-4.6%	-4.4%	-6.1%	0.5%	-1.5%	-1.1%	2.8%
HUF	304	299	296	298	296	2.7%	3.5%	1.2%	2.9%	4.8%	7.5%	16.7%
TRY	45.89	46.60	49.00	51.40	53.70	-14.5%	14.0%	-2.5%	-1.7%	-4.2%	-6.4%	-14.8%
ZAR	16.23	16.40	16.40	16.00	16.00	1.4%	4.0%	1.7%	3.7%	-1.8%	2.0%	9.7%
Americas												
ARS	1410	1450	1500	1550	1600	-11.9%	7.0%	5.3%	-1.3%	-0.8%	3.0%	-16.0%
BRL	5.04	5.05	5.10	5.20	5.15	-2.0%	5.0%	2.1%	-1.0%	1.6%	8.5%	12.3%
CLP	890	880	875	870	865	2.8%	2.8%	0.6%	2.1%	-1.9%	1.2%	5.1%
COP	3640	3750	3850	3900	3900	-6.7%	0.7%	-3.7%	-0.5%	3.1%	3.8%	13.2%
MXN	17.35	17.40	17.35	17.30	17.30	0.3%	2.8%	2.3%	1.1%	-0.7%	3.8%	11.4%
PEN	3.41	3.55	3.60	3.60	3.60	-5.2%	-3.8%	-7.2%	3.2%	-1.8%	-1.5%	6.1%

Source: J.P. Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates.

** Bloomberg FX Consensus Forecasts compares 4Q'26

Global FX forecasts (2 of 2)

Exchange rates vs. U.S. dollar

Majors		Current					JPM forecast gain/loss vs March 27*			Actual change in local FX vs USD			
		15-May	Jun 26	Sep 26	Dec 26	Mar 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
Asia	CNY	6.77	6.80	6.75	6.70	6.70	1.0%	-1.4%	0.6%	1.1%	1.4%	3.3%	6.2%
	HKD	7.84	7.82	7.83	7.83	7.83	0.1%	-0.8%	-0.4%	0.0%	-0.2%	-0.7%	0.1%
	IDR	17874	17200	17300	17300	17300	3.3%	5.3%	-0.9%	-3.3%	-6.2%	-6.6%	-8.9%
	INR	95.00	93.50	95.00	96.60	97.00	-2.1%	1.1%	-2.8%	-0.2%	-4.2%	-5.4%	-10.0%
	KRW	1507	1440	1430	1430	1430	5.4%	4.6%	1.0%	-1.2%	-4.5%	-4.5%	-9.0%
	MYR	3.96	3.90	3.85	3.80	3.75	5.7%	5.0%	3.7%	-0.3%	-1.8%	2.4%	7.0%
	PHP	61.60	60.50	60.00	60.00	60.00	2.7%	4.0%	0.3%	0.0%	-6.4%	-4.5%	-9.5%
	SGD	1.28	1.27	1.26	1.25	1.25	2.2%	0.0%	0.8%	0.3%	-0.9%	0.7%	0.8%
	TWD	31.36	31.50	31.40	31.40	31.40	-0.1%	0.7%	-0.6%	0.7%	-0.4%	0.2%	-4.6%
	THB	32.54	32.00	31.90	31.80	31.70	2.7%	1.1%	1.3%	0.5%	-4.5%	-3.2%	0.7%
EMCI		47.3	45.8	45.6	45.4	45.3	-4.1%	0.1%	-2.2%	0.3%	-0.8%	1.9%	3.8%

Exchange rates vs Euro

		Current					JPM forecast gain/loss vs March 27*			Actual change in local FX vs EUR			
		15-May	Jun 26	Sep 26	Dec 26	Mar 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
	JPY	185	185	184	187	185	0.1%	-1.1%	-2.4%	0.9%	-0.6%	-0.8%	-11.6%
	GBP	0.87	0.87	0.88	0.89	0.87	-0.3%	1.0%	0.6%	-0.1%	1.1%	0.5%	-2.9%
	CHF	0.91	0.91	0.91	0.91	0.91	0.1%	-2.0%	1.1%	1.5%	-0.2%	2.2%	2.7%
	SEK	10.78	10.80	10.80	10.80	10.70	0.7%	0.3%	-1.0%	1.0%	-1.0%	0.4%	0.8%
	NOK	10.78	10.60	10.50	10.50	10.50	2.6%	4.4%	3.0%	1.2%	4.3%	9.9%	6.9%
	CZK	24.28	24.30	24.40	24.50	24.60	-1.3%	-0.5%	-1.2%	0.4%	-0.2%	-0.4%	2.6%
	PLN	4.23	4.30	4.30	4.30	4.30	-1.7%	-0.3%	-1.2%	0.7%	-0.1%	-0.3%	0.4%
	HUF	354	350	340	340	335	5.8%	7.9%	6.6%	3.2%	6.3%	8.5%	13.9%
	RON	5.25	5.30	5.35	5.40	5.40	-2.7%	-0.1%	-3.0%	-2.8%	-3.0%	-3.1%	-3.8%
	TRY	53.48	54.52	56.35	58.60	60.68	-11.9%	18.9%	2.7%	-1.4%	-2.9%	-5.5%	-16.7%
	BRL	5.87	5.91	5.87	5.93	5.82	0.9%	9.5%	7.6%	-0.7%	3.1%	9.9%	9.7%
	MXN	20.20	20.36	19.95	19.72	19.55	3.3%	7.2%	7.7%	1.4%	0.7%	4.7%	8.8%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 1Q'27

GBI-EM Global Diversified Return Forecast

	■ By 1H27 Carry and Duration ■ By 1H27 FX Spot vs. USD	Total Return			Yield			Carry and Duration Rt			FX Spot vs. USD			FX Spot Return vs. USD		
		2H26F	1H27	By 1H27	Current	2H26F	1H27F	2H26F	1H27	By 1H27	Current	2H26F	1H27F	2H26F	1H27	By 1H27
GBI-EM Global Diversified		4.2%	3.1%	7.4%	6.24%	6.18%	6.10%	5.1%	2.3%	7.5%				-0.9%	0.8%	-0.1%
China		7.7%	-5.0%	2.3%	1.80%	1.75%	1.70%	3.0%	-0.5%	2.5%	6.78	6.85	6.85	4.5%	-4.5%	-0.2%
India		-2.6%	5.1%	2.4%	7.15%	7.30%	7.40%	4.0%	1.6%	5.7%	94.94	89.00	89.50	-6.4%	3.5%	-3.1%
Indonesia		-9.3%	11.7%	1.3%	6.91%	7.15%	7.30%	0.6%	4.5%	5.1%	18015	17000	17100	-9.9%	6.9%	-3.7%
Malaysia		3.4%	-2.8%	0.5%	3.77%	3.90%	4.00%	2.0%	0.4%	2.4%	4.02	4.00	4.00	1.3%	-3.2%	-1.9%
Thailand		-8.1%	6.0%	-2.6%	2.31%	2.55%	2.70%	-2.8%	2.9%	-0.0%	32.63	32.50	33.50	-5.5%	3.0%	-2.6%
Czech Republic		2.7%	5.7%	8.5%	4.60%	4.50%	4.50%	3.6%	1.7%	5.4%	20.93	21.79	21.21	-0.9%	3.8%	2.9%
Hungary		15.1%	-5.5%	8.7%	5.45%	5.05%	4.80%	12.8%	-3.4%	8.9%	307.89	330.36	318.97	2.0%	-2.1%	-0.1%
Poland		0.4%	7.8%	8.2%	5.25%	5.25%	5.25%	2.6%	2.9%	5.6%	3.67	3.79	3.66	-2.1%	4.7%	2.4%
Romania		6.9%	8.3%	15.8%	6.70%	6.50%	6.30%	7.4%	1.3%	8.8%	4.54	4.57	4.48	-0.5%	6.9%	6.4%
Serbia		2.7%	5.9%	8.7%	5.17%	5.30%	5.30%	3.2%	1.6%	4.9%	101.51	104.91	101.29	-0.5%	4.2%	3.7%
South Africa		10.0%	7.6%	18.4%	9.02%	9.00%	8.50%	6.2%	6.7%	13.3%	16.46	15.70	15.70	3.6%	0.9%	4.5%
Turkey		1.6%	16.4%	18.2%	35.51%	35.50%	35.50%	21.5%	13.3%	37.7%	46.08	48.00	53.50	-16.4%	2.7%	-14.2%
Brazil		21.4%	-0.2%	21.1%	14.79%	13.50%	13.00%	14.5%	5.8%	21.1%	5.15	5.35	5.40	6.0%	-5.6%	0.0%
Chile		9.5%	2.1%	11.8%	5.47%	5.40%	5.60%	4.9%	0.2%	5.1%	915	840	830	4.5%	1.8%	6.4%
Colombia		11.5%	-3.1%	8.0%	12.56%	12.50%	11.75%	14.7%	2.2%	17.3%	3591	3800	3800	-2.8%	-5.3%	-7.9%
Dominican Republic		13.4%	-2.0%	11.1%	9.92%	9.75%	9.50%	7.8%	5.0%	13.2%	58.40	63.50	63.50	5.2%	-6.7%	-1.8%
Mexico		15.3%	0.2%	15.5%	9.10%	8.75%	8.25%	10.4%	3.5%	14.3%	17.50	17.40	17.30	4.4%	-3.1%	1.1%
Peru		-3.9%	8.4%	4.1%	6.08%	6.25%	6.50%	2.3%	1.3%	3.6%	3.47	3.30	3.25	-6.0%	7.0%	0.5%
Uruguay		6.9%	4.4%	11.6%	7.44%	7.50%	7.50%	7.7%	-0.1%	7.6%	40.45	38.50	38.00	-0.7%	4.4%	3.7%

-20% -10% 0% 10% 20% 30% 40% 50%

Source: J.P. Morgan; Using current index weights for forward projections. As of 05-June-26 COB.

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Disclosures

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	Overweight (buy)	Marketweight (hold)	Underweight (sell)
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IB clients**	100%	84%	100%

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